

**JOCHU TECHNOLOGY CO., LTD. AND
SUBSIDIARIES
CONSOLIDATED FINANCIAL STATEMENTS AND
INDEPENDENT AUDITORS' REVIEW REPORT
MARCH 31, 2025 AND 2024**

For the convenience of readers and for information purpose only, the auditors' report and the accompanying financial statements have been translated into English from the original Chinese version prepared and used in the Republic of China. In the event of any discrepancy between the English version and the original Chinese version or any differences in the interpretation of the two versions, the Chinese-language auditors' report and financial statements shall prevail.

INDEPENDENT AUDITORS' REVIEW REPORT

To the Board of Directors and Shareholders of JOCHU TECHNOLOGY CO., LTD.

Introduction

We have reviewed the accompanying consolidated balance sheet of JOCHU TECHNOLOGY CO., LTD. and subsidiaries (the “Group”) as at March 31, 2025 and 2024, and the related consolidated statements of comprehensive income, of changes in equity and of cash flows for the three months then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies. Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and International Accounting Standard 34, “Interim Financial Reporting” that came into effect as endorsed by the Financial Supervisory Commission. Our responsibility is to express a conclusion on these consolidated financial statements based on our reviews.

Scope of Review

We conducted our reviews in accordance with the Standard on Review Engagements 2410, “Review of Financial Information Performed by the Independent Auditor of the Entity” of the Republic of China. A review of consolidated financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our reviews, nothing has come to our attention that causes us to believe that the accompanying consolidated financial statements do not present fairly, in all material respects, the consolidated financial position of the Group as at March 31, 2025 and 2024, and of its consolidated financial performance and its consolidated cash flows for the three months then ended in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and International Accounting Standard 34, “Interim Financial Reporting” that came into effect as endorsed by the Financial Supervisory Commission.

Liao, Fu-Ming

For and on Behalf of PricewaterhouseCoopers, Taiwan

May 8, 2025

Lin, Yung-Chih

The accompanying consolidated financial statements are not intended to present the financial position and results of operations and cash flows in accordance with accounting principles generally accepted in countries and jurisdictions other than the Republic of China. The standards, procedures and practices in the Republic of China governing the audit of such financial statements may differ from those generally accepted in countries and jurisdictions other than the Republic of China. Accordingly, the accompanying consolidated financial statements and independent auditors’ report are not intended for use by those who are not informed about the accounting principles or auditing standards generally accepted in the Republic of China, and their applications in practice.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
(In thousands of New Taiwan dollars)

Assets		Notes	March 31, 2025		December 31, 2024		March 31, 2024	
			AMOUNT	%	AMOUNT	%	AMOUNT	%
Current assets								
1100	Cash and cash equivalents	6(1)	\$ 913,527	22	\$ 1,120,889	26	\$ 1,210,944	27
1110	Financial assets at fair value	6(2)						
	through profit or loss - current		228	-	-	-	2,184	-
1136	Financial assets at amortized cost -	6(4) and 8						
	current		278	-	547	-	193,580	5
1150	Notes receivable, net	6(5)	21,310	1	22,726	1	16,405	1
1170	Accounts receivable, net	6(5)	1,243,092	29	1,124,521	26	1,115,192	25
1180	Accounts receivable - related	7						
	parties, net		1,036	-	2,549	-	454	-
1197	Finance lease receivable, net		1,813	-	1,769	-	1,696	-
1200	Other receivables	6(6)	128,935	3	128,642	3	103,411	2
1220	Current income tax assets		1,574	-	1,490	-	7,745	-
130X	Inventories	6(7)	258,016	6	272,119	6	216,716	5
1410	Prepayments		29,356	1	20,786	1	12,836	-
1470	Other current assets		40,822	1	52,106	1	34,307	1
11XX	Total current assets		2,639,987	63	2,748,144	64	2,915,470	66
Non-current assets								
1510	Financial assets at fair value	6(2)						
	through profit or loss - non-current		29,527	1	30,477	1	32,717	1
1517	Financial assets at fair value	6(3)						
	through other comprehensive							
	income - non-current		8,820	-	8,778	-	6,200	
1535	Financial assets at amortized cost -	6(4) and 8						
	non-current		403	-	-	-	413	-
1600	Property, plant and equipment	6(8) and 8	1,236,037	29	1,242,723	29	1,134,566	26
1755	Right-of-use assets	6(9) and 7	109,763	3	117,496	3	141,388	3
1780	Intangible assets	6(10)	57,411	1	57,862	1	66,944	1
1840	Deferred income tax assets		41,092	1	44,656	1	42,200	1
1975	Net defined benefit asset - non-							
	current		12,245	-	12,199	-	10,234	-
1990	Other non-current assets	8	79,307	2	30,001	1	82,946	2
15XX	Total non-current assets		1,574,605	37	1,544,192	36	1,517,608	34
1XXX	Total assets		\$ 4,214,592	100	\$ 4,292,336	100	\$ 4,433,078	100

(Continued)

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
(In thousands of New Taiwan dollars)

Liabilities and Equity		Notes	March 31, 2025		December 31, 2024		March 31, 2024	
			AMOUNT	%	AMOUNT	%	AMOUNT	%
Current liabilities								
2100	Short-term borrowings	6(11)	\$ 45,000	1	\$ 45,000	1	\$ 45,000	1
2120	Financial liabilities at fair value through profit or loss – current	6(2)	1,900	-	5,710	-	3,567	-
2130	Contract liabilities - current	6(20)	3,449	-	1,900	-	10,112	1
2170	Accounts payable	6(12)	635,536	15	604,299	14	531,959	12
2200	Other payables	6(13)	304,317	7	341,188	8	274,168	6
2220	Other payables to related parties	7	387	-	217	-	126	-
2230	Current income tax liabilities		19,723	1	10,373	-	6,288	-
2280	Lease liabilities - current	7	25,137	1	24,584	1	25,862	1
2320	Long-term borrowings - current	6(14)	50,000	1	50,000	1	50,000	1
2399	Other current liabilities		6,154	-	4,304	-	3,484	-
21XX	Total current liabilities		1,091,603	26	1,087,575	25	950,566	22
Non-current liabilities								
2540	Long-term borrowings	6(14)	137,500	3	150,000	4	187,500	4
2570	Deferred income tax liabilities		156,755	4	176,314	4	213,126	5
2580	Lease liabilities - non-current	7	12,704	-	16,574	-	39,919	1
2600	Other non-current liabilities		6,550	-	6,316	-	6,275	-
25XX	Total non-current liabilities		313,509	7	349,204	8	446,820	10
2XXX	Total liabilities		1,405,112	33	1,436,779	33	1,397,386	32
Equity								
Equity attributable to owners of the parent								
Share capital		6(16)						
3110	Ordinary share		892,631	21	892,631	21	892,631	20
Capital surplus		6(17)						
3200	Capital surplus		1,570,092	37	1,622,130	38	1,666,262	38
Retained earnings		6(18)						
3310	Legal reserve		151,775	4	151,775	4	143,906	3
3320	Special reserve		369,917	9	369,917	9	362,837	8
3350	Unappropriated retained earnings (accumulated deficit)		(95,791)	(2)	(98,935)	(2)	38,969	1
Other equity interest		6(19)						
3400	Other equity interest		(275,451)	(6)	(280,708)	(7)	(296,405)	(7)
3500	Treasury shares	6(16)	(25,619)	(1)	(25,619)	(1)	(25,619)	-
31XX	Equity attributable to owners of the parent		2,587,554	62	2,631,191	62	2,782,581	63
36XX	Non-controlling interests	4(3)	221,926	5	224,366	5	253,111	5
3XXX	Total equity		2,809,480	67	2,855,557	67	3,035,692	68
Significant contingent liabilities and unrecognized contract commitments		9						
Significant events after the balance sheet date								
3X2X	Total liabilities and equity		\$ 4,214,592	100	\$ 4,292,336	100	\$ 4,433,078	100

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(In thousands of New Taiwan dollars, except for (loss) earnings per share amount)

Items		Notes	Three months ended March 31			
			2025		2024	
			AMOUNT	%	AMOUNT	%
4000	Operating revenue	6(20) and 7	\$ 890,413	100	\$ 759,665	100
5000	Operating costs	6(7)(25)	(765,624)	(86)	(648,124)	(85)
5900	Gross profit		124,789	14	111,541	15
	Operating expenses	6(25) and 7				
6100	Selling and marketing expenses		(32,478)	(4)	(36,098)	(5)
6200	General and administrative expenses		(80,167)	(9)	(78,955)	(10)
6300	Research and development expenses		(17,075)	(2)	(17,152)	(2)
6450	Expected credit gain (loss)	12(2)	990	-	(3,990)	(1)
6000	Total operating expenses		(128,730)	(15)	(136,195)	(18)
6900	Net operating (loss) profit		(3,941)	(1)	(24,654)	(3)
	Non-operating income and expenses					
7100	Interest income	6(21)	3,609	1	6,138	1
7010	Other income	6(22)	3,559	-	2,678	-
7020	Other gains and losses	6(23)	1,876	-	9,998	1
7050	Finance costs	6(24) and 7	(1,437)	-	(1,802)	-
7000	Total non-operating income and expenses		7,607	1	17,012	2
7900	Loss (profit) before income tax		3,666	-	(7,642)	(1)
7950	Income tax expense	6(27)	(2,771)	-	(18,945)	(3)
8200	Loss for the year		\$ 895	-	(\$ 26,587)	(4)
	Other comprehensive income (loss)					
	Components of other comprehensive income (loss) that will not be reclassified to profit or loss					

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JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(In thousands of New Taiwan dollars, except for (loss) earnings per share amount)

	Items	Notes	Three months ended March 31			
			2025		2024	
			AMOUNT	%	AMOUNT	%
8361	Financial statements translation differences of foreign operations		(\$ 2,840)	-	80,650	11
8300	Other comprehensive income for the year		(\$ 2,840)	-	\$ 80,650	11
8500	Total comprehensive income (loss) for the year		(\$ 1,945)	-	\$ 54,063	7
	Profit (loss) attributable to:					
8610	Owners of the parent		\$ 7,967	1	(\$ 20,320)	(3)
8620	Non-controlling interests		(7,072)	(1)	(6,267)	(1)
			<u>\$ 895</u>	<u>-</u>	<u>(\$ 26,587)</u>	<u>(4)</u>
	Comprehensive income (loss) attributable to:					
8710	Owners of the parent		\$ 13,224	2	\$ 53,191	7
8720	Non-controlling interests		(15,169)	(2)	872	-
			<u>(\$ 1,945)</u>	<u>-</u>	<u>\$ 54,063</u>	<u>7</u>
	Earnings (loss) per share (in dollars)	6(28)				
9750	Basic earnings (loss) per share		<u>\$ 0.09</u>		<u>(\$ 0.23)</u>	
9850	Diluted earnings (loss) per share		<u>\$ 0.09</u>		<u>(\$ 0.23)</u>	

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

(In thousands of New Taiwan dollars)

Equity attributable to owners of the parent

Equity attributable to owners of the parent												

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
(In thousands of New Taiwan dollars)

	Notes	Three months ended March 31	
		2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES			
Profit (loss) before tax		\$ 3,666	(\$ 7,642)
Adjustments			
Adjustments to reconcile profit (loss)			
Depreciation charges on property, plant, and equipment	6(8)(25)	38,763	35,109
Depreciation charges on right-of-use assets	6(9)(25)	6,196	7,987
Expected credit (gain) loss	12(2)	(990)	3,990
Amortization charges	6(25)	3,844	3,857
Interest income	6(21)	(3,609)	(6,138)
Gain on disposal of property, plant, and equipment	6(23)	-	(2,833)
Loss on financial assets and liabilities at fair value through profit or loss	6(2)(23)	4,655	12,522
Interest expense	6(24)	1,437	1,802
Changes in operating assets and liabilities			
Changes in operating assets			
Notes receivable, net		1,724	16,553
Accounts receivable, net		(106,700)	49,770
Accounts receivable to related parties		1,445	1,786
Other receivables		412	(7,599)
Inventories		15,143	(12,140)
Other current assets		(330)	12,836
Net defined benefit asset – non current		(46)	(28)
Changes in operating liabilities			
Contract liabilities - current		1,549	6,030
Accounts payable		26,382	31,161
Accounts payable to related parties		-	(1,061)
Other payables		(79,012)	(55,264)
Other payables to related parties		170	(93)
Other current liabilities		1,831	1,318
Other non-current liabilities		226	212
Cash inflow (used in) generated from operations		(83,244)	92,135
Interest received		4,372	2,890
Interest paid		(1,192)	(1,381)
Income tax paid		(9,182)	(9,986)
Net cash flows (used in) generated from operating activities		(89,246)	83,658

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JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
(In thousands of New Taiwan dollars)

		Three months ended March 31	
	Notes	2025	2024
<u>CASH FLOWS FROM INVESTING ACTIVITIES</u>			
Acquisition of financial assets at amortized cost		(\$ 406)	\$ -
Proceeds from disposal of financial assets at amortized cost		275	443
Acquisition of financial assets at fair value through profit or loss		(7,757)	(10,755)
Acquisition of financial assets at fair value through other comprehensive income (loss)		-	(3,000)
Acquisition of property, plant, and equipment	6(29)	(41,645)	(14,045)
Disposal of property, plant, and equipment		-	3,986
Acquisition of intangible assets	6(10)	(543)	-
(Increase) decrease in guarantee deposits paid		(446)	4
Increase in prepayments for equipment		(49,575)	(43,425)
Net cash flows used in investing activities		(100,097)	(66,792)
<u>CASH FLOWS FROM FINANCING ACTIVITIES</u>			
Proceeds from short-term borrowings		95,000	135,000
Repayments of short-term borrowings		(95,000)	(135,000)
Repayments of long-term borrowings	6(30)	(12,500)	(20,133)
Payments of lease liabilities	6(30)	(4,233)	(4,645)
Purchase of treasury shares	6(16)	-	(25,619)
Net cash flows used in financing activities		(16,733)	(50,397)
Effect of exchange rate changes on cash and cash equivalents		(1,286)	20,890
Net decrease in cash and cash equivalents		(207,362)	(12,641)
Cash and cash equivalents at beginning of period		1,120,889	1,223,585
Cash and cash equivalents at end of period		\$ 913,527	\$ 1,210,944

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
FOR THE THREE MONTHS ENDED MARCH 31, 2025 AND 2024

(Expressed in thousands of New Taiwan dollars, except as otherwise indicated)

1. History and Organization

Jochu Technology Co., Ltd. (the “Company”) was incorporated in June 2000 under the provisions of the Company Act of the Republic of China (R.O.C.). The Company and its subsidiaries (the “Group”) are primarily engaged in manufacturing and selling of optoelectronic components, stamping molds, metal furniture, medical devices, and related international trading business. On April 17, 2006 and December 31, 2005, the Company merged with Yourui Precision Technology Co., Ltd. (“Yourui”) and Jingrong Machinery Co., Ltd. (“Jingrong”), respectively. The Company was the surviving company, while Yourui and Jingrong were the merged companies. The Company has been listed on the Taiwan Stock Exchange since April 2020.

2. The Date of Authorization for Issuance of the Financial Statements and Procedures for Authorization

These consolidated financial statements were authorized for issuance by the Board of Directors on May 8, 2025.

3. Application of New Standards, Amendments and Interpretations

(1) Effect of the adoption of new issuances of or amendments to International Financial Reporting Standards (“IFRS”) that came into effect as endorsed by the Financial Supervisory Commission (“FSC”)

New standards, interpretations and amendments endorsed by the FSC and became effective from 2025 are as follows:

<u>New Standards, Interpretations and Amendments</u>	<u>Effective date by International Accounting Standards Board</u>
Amendments to IAS 21, ‘Lack of Exchangeability’	January 1, 2025

The above standards and interpretations have no significant impact to the Group’s financial condition and financial performance based on the Group’s assessment.

(2) Effect of new issuances of or amendments to IFRSs as endorsed by the FSC but not yet adopted by the Group

New standards, interpretations and amendments endorsed by the FSC and became effective from 2025 are as follows:

<u>New Standards, Interpretations and Amendments</u>	<u>Effective date by International Accounting Standards Board</u>
Amendments to IFRS 9 and IFRS 7, ‘Amendments to the Classification and Measurement of Financial Instruments’	January 1, 2026

The above standards and interpretations have no significant impact to the Group’s financial condition and financial performance based on the Group’s assessment.

(3) IFRSs issued by International Accounting Standards Board (“IASB”) but not yet endorsed by the FSC

New standards, interpretations and amendments issued by IASB but not yet included in the IFRSs as endorsed by the FSC are as follows:

<u>New Standards, Interpretations and Amendments</u>	<u>Effective date by IASB</u>
Amendments to IFRS 9 and IFRS 7, ‘Amendments to the Classification and Measurement of Financial Instruments’	January 1, 2026
Amendments to IFRS 9 and IFRS 7, ‘Contracts for Renewable Electricity’	January 1, 2026
Amendments to IFRS 10 and IAS 28, ‘Sale or contribution of assets between an investor and its associate or joint venture’	To be determined by IASB
IFRS 17, ‘Insurance contracts’	January 1, 2023
Amendments to IFRS 17, ‘Insurance contracts’	January 1, 2023
Amendment to IFRS 17, ‘Initial application of IFRS 17 and IFRS 9 – comparative information’	January 1, 2023
IFRS 18, ‘Presentation and disclosure in financial statements’	January 1, 2027
IFRS 19, ‘Subsidiaries without public accountability: disclosures’	January 1, 2027
Annual Improvements to IFRS Accounting Standards—Volume 11	January 1, 2026

Except for the following, the above standards and interpretations have no significant impact to the Group’s financial condition and financial performance based on the Group’s assessment.

IFRS 18, ‘Presentation and disclosure in financial statements’

IFRS 18, ‘Presentation and disclosure in financial statements’ replaces IAS 1. The standard introduces a defined structure of the statement of profit or loss, disclosure requirements related to management-defined performance measures, and enhanced principles on aggregation and disaggregation which apply to the primary financial statements and notes.

4. Summary of Significant Accounting Policies

Except for the compliance statement, basis of preparation and basis of consolidation set out below, the rest of the significant accounting policies applied in the preparation of these consolidated financial statements are the same as those disclosed in Note 4 to the consolidated financial statements as of and for the year ended December 31, 2024. The policies have been consistently applied to all the periods presented, unless otherwise stated.

(1) Compliance statement

- A. These consolidated financial statements of the Group have been prepared in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and the International Accounting Standard 34, “Interim Financial Reporting” that came into effect as endorsed by the FSC.
- B. These consolidated financial statements are to be read in conjunction together with the consolidated financial statements for the year ended December 31, 2024.

(2) Basis of preparation

- A. Except for the following items, the consolidated financial statements have been prepared under the historical cost convention:

- (a) Financial assets and financial liabilities (including derivative instruments) at fair value through profit or loss.
- (b) Financial assets at fair value through other comprehensive income.
- (c) Defined benefit assets recognized based on the net amount of pension fund assets less present value of defined benefit obligation.

B. The preparation of financial statements in conformity with International Financial Reporting Standards, International Accounting Standards, IFRIC Interpretations, and SIC Interpretations that came into effect as endorsed by the FSC (collectively referred herein as the “IFRSs”) requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Group’s accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the consolidated financial statements are disclosed in Note 5.

(3) Basis of consolidation

A. Basis for preparation of consolidated financial statements:

The basis for preparation of these consolidated financial statements is the same as that for the preparation of the consolidated financial statements for the year ended December 31, 2024.

B. Subsidiaries included in the consolidated financial statements:

Name of investor	Name of subsidiary	Main business activities	Ownership (%)			Description
			March 31, 2025	December 31, 2024	March 31, 2024	
The Company	JOCHU INVESTMENT LTD. (JOCHU BVI)	Investment holding	100%	100%	100%	
	LEGIUN TECHNOLOGY CO., LTD. (LEGIUN)	Sales of medical devices	100%	100%	100%	
	eBio International Co., Ltd. (eBio International)	Investment holding	73.66%	52.02%	52.02%	Note

Name of investor	Name of subsidiary	Main business activities	Ownership (%)			Description
			March 31, 2025	December 31, 2024	March 31, 2024	
JOCHU BVI	SUZHOU JOCHU PRECISION METAL CO., LTD. (SUZHOU JOCHU)	Production and sales of optoelectronic components, stamping molds, and related international trading business	100%	100%	100%	
	JOCHU GLOBAL INVESTMENT (CAYMAN) LTD. (JOCHU GLOBAL)	Investment holding	100%	100%	100%	
	PROSPERITY INVESTMENT HOLDING PTE. LTD. (PIH)	Investment holding	65%	65%	65%	
eBio International	eBio technology Inc.(eBio technology)	Research and development, manufacturing of medical electronic devices, biomedical sensors, and integrated design services for healthcare systems.	100%	100%	100%	
JOCHU GLOBAL	JOCHU INTERNATIONAL (CAYMAN) LTD. (JOCHU INTERNATIONAL)	Investment holding	100%	100%	100%	
JOCHU INTERNATIONAL	JOCHU TECHNOLOGY (XIAMEN) LTD. (XIAMEN JOCHU)	Investment holding	66.67%	66.67%	66.67%	

Name of investor	Name of subsidiary	Main business activities	Ownership (%)			Description
			March 31, 2025	December 31, 2024	March 31, 2024	
PIH	JOCHU VIETNAM	Production and sales of optoelectronic components, stamping molds, and related international trading business	100%	100%	100%	
SUZHOU JOCHU	XIAMEN JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	33.33%	33.33%	33.33%	

Note : On February 6, 2025, the Company's Board of Directors resolved to increase investment in eBio International. In February 2025, the Company converted debt of \$30,000 into equity and additionally contributed \$6,000 in cash to participate in the capital increase plan. As a result, the Company's ownership in eBio International increased from 52.02% to 73.66% as of March 31, 2025. The difference between the acquisition cost and the net assets acquired was recognized as a reduction in capital surplus and retained earnings in the amounts of \$7,906 and \$4,823, respectively.

C. Subsidiaries not included in the consolidated financial statements: None.

D. Adjustments for subsidiaries with different balance sheet dates: None.

E. Significant restrictions: None.

F. Subsidiaries that have non-controlling interests that are material to the Group:

As at March 31, 2025, December 31, 2024 and March 31, 2024 the non-controlling interest amounted to \$221,926 、\$224,366 and \$253,111, respectively. The information of non-controlling interest and respective subsidiaries is as follows:

Name of subsidiary	Principal place of business	Non-controlling interests			
		March 31, 2025		December 31, 2024	
		Amount	Ownership (%)	Amount	Ownership (%)
PIH	Singapore	\$ 216,655	35%	\$ 231,320	35%

Name of subsidiary	Principal place of business	March 31, 2024	
		Amount	Ownership (%)
PIH	Singapore	\$ 244,761	35%

Summarized financial information of the subsidiaries:

Balance sheet

	PIH		
	March 31, 2025	December 31, 2024	March 31, 2024
Current asset	\$ 275,607	\$ 334,182	\$ 364,180
Non-current assets	408,893	372,204	359,438
Current liabilities	(64,489)	(44,488)	(23,342)
Non-current liabilities	(996)	(984)	(960)
Total net assets	<u>\$ 619,015</u>	<u>\$ 660,914</u>	<u>\$ 699,316</u>

Statement of comprehensive income

	PIH	
	March 31, 2025	March 31, 2024
Revenue	<u>\$ 52,038</u>	<u>\$ 5,483</u>
Loss before income tax	(18,766)	(9,410)
Income tax expense	<u>-</u>	<u>-</u>
Loss for the Period	(18,766)	(9,410)
Other comprehensive income, net of tax	(31,130)	(8,318)
Total comprehensive income for the year	<u>(\$ 49,896)</u>	<u>(\$ 17,728)</u>
Comprehensive income attributable to non-controlling interest	<u>(\$ 17,464)</u>	<u>(\$ 6,205)</u>

Cash Flow Statements

	PIH	
	Three months ended March 31,	
	2025	2024
Net Cash used in operating activities	(\$ 23,937)	(\$ 1,027)
Net cash used in investing activities	(52,397)	(11,745)
Net cash provided by financing activities	-	-
Effect of exchange rates on cash and cash equivalents	(7,214)	1,291
Decrease in cash and cash equivalents	(83,548)	(11,481)
Cash and cash equivalents, beginning of year	233,449	161,781
Cash and cash equivalents, end of year	<u>\$ 149,901</u>	<u>\$ 150,300</u>

(4) Employee benefits

Pension cost for the interim period is calculated on a year-to-date basis by using the pension cost rate derived from the actuarial valuation at the end of the prior financial year, adjusted for significant market fluctuations since that time and for significant curtailments, settlements, or other significant one-off events. Also, the related information is disclosed accordingly.

(5) Income tax

- A. The interim period income tax expense is recognized based on the estimated average annual effective income tax rate expected for the full financial year applied to the pretax income of the interim period, and the related information is disclosed accordingly.
- B. If a change in tax rate is enacted or substantively enacted in an interim period, the Group recognises the effect of the change immediately in the interim period in which the change occurs. The effect of the change on items recognised outside profit or loss is recognised in other comprehensive income or equity while the effect of the change on items recognised in profit or loss is recognised in profit or loss.

5. Critical Accounting Judgments, Estimates and Key Sources of Assumption Uncertainty

The additional disclosures are set out below. For the rest of the information, please refer to Note 5 in the consolidated financial statements for the year ended December 31, 2024.

6. Details of Significant Accounts

(1) Cash and cash equivalents

	<u>March 31, 2025</u>	<u>December 31, 2024</u>	<u>March 31, 2024</u>
Cash on hand and petty cash	\$ 381	\$ 379	\$ 446
Checking accounts and demand deposits	381,439	440,842	343,434
Time deposits	531,707	679,668	867,064
	<u>\$ 913,527</u>	<u>\$ 1,120,889</u>	<u>\$ 1,210,944</u>

A. The Group transacts with a variety of financial institutions all with high credit quality to disperse credit risk, so it expects that the probability of counterparty default is remote.

B. The Group has no cash and cash equivalents pledged to others.

(2) Financial assets and liabilities at fair value through profit or loss

	<u>March 31, 2025</u>	<u>December 31, 2024</u>	<u>March 31, 2024</u>
Current items:			
Financial assets mandatorily measured at fair value through profit or loss			
Forward foreign exchange contracts	\$ 228	\$ -	\$ 2,184
Non-current items:			
Financial assets mandatorily measured at fair value through profit or loss			
Private equity fund	\$ 30,000	\$ 30,000	\$ 30,000
Valuation adjustment	(473)	477	2,717
	<u>\$ 29,527</u>	<u>\$ 30,477</u>	<u>\$ 32,717</u>
Current items:			
Financial liabilities mandatorily measured at fair value through profit or loss			
Forward foreign exchange contracts	\$ 1,900	\$ 5,710	\$ 3,567

- A. Amounts recognized in profit or loss in relation to financial assets and liabilities at fair value through profit or loss are listed below:

		Three months ended March 31,	
		2025	2024
Financial assets and liabilities mandatorily measured at fair value through profit or loss			
Forward foreign exchange contracts	(\$	3,705)	(\$ 11,136)
Private equity fund	(	950)	(1,386)
	(\$	4,655)	(\$ 12,522)

- B. The Group entered into contracts relating to derivative financial assets which were not accounted for under hedge accounting. The information is listed below:

		March 31, 2025	
		Contract amount (notional principal)	
Derivative financial Instruments		(in thousands)	Maturity date
Current items:			
Forward foreign exchange contracts			
Sell USD Buy RMB	USD	11,960	2025.04.01~2025.10.29
Sell USD Buy NTD	USD	4,060	2025.04.10~2025.06.10
		December 31, 2024	
		Contract amount (notional principal)	
Derivative financial Instruments		(in thousands)	Maturity date
Current items:			
Forward foreign exchange contracts			
Sell USD Buy RMB	USD	11,520	2025.01.01~2025.07.28
Sell USD Buy NTD	USD	4,060	2025.01.10~2025.03.10
		March 31, 2024	
		Contract amount (notional principal)	
Derivative financial Instruments		(in thousands)	Maturity date
Current items:			
Forward foreign exchange contracts			
Sell USD Buy RMB	USD	13,690	2024.04.01~2024.10.30
Sell USD Buy NTD	USD	4,060	2024.04.10~2024.06.11

The Group entered into forward foreign exchange contracts to sell USD to hedge exchange rate fluctuations of foreign currency denominated assets and liabilities. However, these forward foreign exchange contracts are not accounted for under hedge accounting.

- C. The Group had no financial assets at fair value through profit or loss pledged to others as collateral.
- D. The Group transacts with a variety of financial institutions all with high credit quality to disperse credit risk, so it expects that the probability of counterparty default is remote.

(3) Financial assets at fair value through other comprehensive income (loss)

Items	March 31, 2025	December 31, 2024	March 31, 2024
Non-current items:			
Equity instruments			
Unlisted stocks			
W Company	\$ 3,320	\$ 3,278	\$ 3,200
Y Company	3,000	3,000	3,000
B Company	2,500	2,500	-
	<u>\$ 8,820</u>	<u>\$ 8,778</u>	<u>\$ 6,200</u>

- A. The Group has elected to classify equity instruments that are considered to be strategic investments as financial assets at fair value through other comprehensive income. As at March 31, 2025, December 31, 2024 and March 31, 2024, the fair value of such investments were the same as the book value.
- B. The fair value changes of financial assets measured at fair value through other comprehensive income recognized in other comprehensive income were zero for the three months ended March 31, 2025 and 2024.
- C. The Group had no financial assets at fair value through other comprehensive income pledged to others as collateral.

(4) Financial assets at amortized cost

Items	March 31, 2025	December 31, 2024	March 31, 2024
Current items:			
Restricted assets	\$ 278	\$ 547	\$ 271
Time deposits with original maturity period of more than three months	-	-	193,309
	<u>\$ 278</u>	<u>\$ 547</u>	<u>\$ 193,580</u>
Non-current item:			
Restricted assets	<u>\$ 403</u>	<u>\$ -</u>	<u>\$ 413</u>

- A. Amounts recognized in profit or loss in relation to financial assets at amortized cost are listed below:

	Three months ended March 31,	
	2025	2024
Interest income	<u>\$ 1</u>	<u>\$ 2,250</u>

- B. As at March 31, 2025, December 31, 2024 and March 31, 2024, without taking into account any collateral held or other credit enhancements, the maximum exposure to credit risk in respect of the amount that best represents the financial assets at amortized cost held by the Group was the book value at the balance sheet date.
- C. Details of the Group's financial assets at amortized cost pledged to others as collateral are provided in Note 8.
- D. The counterparties of the Group's investments in certificates of deposits are financial institutions with high credit quality, so the Group expects that the probability of counterparty default is remote.

(5) Notes and accounts receivable

	<u>March 31, 2025</u>	<u>December 31, 2024</u>	<u>March 31, 2024</u>
Notes receivable	\$ 21,310	\$ 22,726	\$ 16,405
Accounts receivable	\$ 1,244,312	\$ 1,126,727	\$ 1,120,232
Less: Allowance for uncollectible accounts	(1,220)	(2,206)	(5,040)
	<u>\$ 1,243,092</u>	<u>\$ 1,124,521</u>	<u>\$ 1,115,192</u>

- A. As at March 31, 2025, December 31, 2024 and March 31, 2024, notes receivable and accounts receivable were all from contracts with customers. As at January 1, 2024, the balance of receivables from contracts with customers amounted to \$1,163,743.
- B. The ageing analysis of notes receivable and accounts receivable is as follows:

	<u>March 31, 2025</u>			
	<u>Notes</u>		<u>Accounts</u>	
	<u>receivable</u>		<u>receivable</u>	
Not past due	\$	21,310	\$	1,223,299
Up to 90 days		-		19,793
Over 91 days		-		1,220
	<u>\$</u>	<u>21,310</u>	<u>\$</u>	<u>1,244,312</u>
	<u>December 31, 2024</u>		<u>March 31, 2024</u>	
	<u>Notes</u>		<u>Notes</u>	
	<u>receivable</u>		<u>receivable</u>	
Not past due	\$	22,726	\$	16,405
Up to 90 days		-		-
Over 91 days		-		-
	<u>\$</u>	<u>22,726</u>	<u>\$</u>	<u>16,405</u>
	\$	1,112,733	\$	1,085,488
		11,788		29,704
		2,206		5,040
	<u>\$</u>	<u>1,126,727</u>	<u>\$</u>	<u>1,120,232</u>

The above ageing analysis was based on past due date.

- C. As at March 31, 2025, December 31, 2024 and March 31, 2024, without taking into account any collateral held or other credit enhancements, the maximum exposure to credit risk in respect of the amount that best represents the Group's notes and accounts receivable were the book value at

the balance sheet date.

D. Information relating to credit risk of notes receivable and accounts receivable is provided in Note 12(2).

(6) Other receivables

	<u>March 31, 2025</u>	<u>December 31, 2024</u>	<u>March 31, 2024</u>
Receipts under custody - Molds	\$ 113,438	\$ 119,594	\$ 81,408
Tax refund receivable	6,887	-	6,892
Molds receivable	3,645	3,858	8,747
Others	<u>4,965</u>	<u>5,190</u>	<u>12,209</u>
	128,935	128,642	109,256
Less: Allowance for uncollectible loss	<u>-</u>	<u>-</u>	<u>(5,845)</u>
	<u>\$ 128,935</u>	<u>\$ 128,642</u>	<u>\$ 103,411</u>

(7) Inventories

	<u>March 31, 2025</u>	<u>December 31, 2024</u>	<u>March 31, 2024</u>
Raw materials	\$ 106,033	\$ 106,401	\$ 85,879
Work in progress	89,090	71,955	53,683
Finished goods	<u>124,217</u>	<u>151,416</u>	<u>133,256</u>
	319,340	329,772	272,818
Less: Allowance for valuation loss	<u>(61,324)</u>	<u>(57,653)</u>	<u>(56,102)</u>
	<u>\$ 258,016</u>	<u>\$ 272,119</u>	<u>\$ 216,716</u>

The cost of inventories recognized as expense for the year:

	<u>Three months ended March 31,</u>	
	<u>2025</u>	<u>2024</u>
Cost of inventories sold	\$ 775,058	\$ 662,125
Loss on (Gain on reversal of) market value	4,034 (	3,617)
Loss on disposal of inventory	3,708	7,648
Revenue from sale of scraps	<u>(17,176)</u>	<u>(18,032)</u>
	<u>\$ 765,624</u>	<u>\$ 648,124</u>

During the period from January 1 to March 31, 2024, the Group realized recovery gains as a result of the sale and put into production of previously impaired and stagnant inventory

(8) Property, plant and equipment

	2025								
	Land	Buildings and structures	Machinery and equipment	Transportation equipment	Office equipment	Leasehold improvements	Other equipment	Construction in progress	Total
At January 1									
Cost	\$ 313,143	\$ 1,150,187	\$ 1,154,975	\$ 26,217	\$ 15,246	\$ 23,195	\$ 198,257	\$ 32,277	\$ 2,913,497
Accumulated depreciation	-	(600,095)	(826,796)	(19,235)	(12,297)	(14,608)	(161,526)	-	(1,634,557)
Accumulated impairment	-	(14,674)	(20,824)	-	(416)	-	(303)	-	(36,217)
	<u>\$ 313,143</u>	<u>\$ 535,418</u>	<u>\$ 307,355</u>	<u>\$ 6,982</u>	<u>\$ 2,533</u>	<u>\$ 8,587</u>	<u>\$ 36,428</u>	<u>\$ 32,277</u>	<u>\$ 1,242,723</u>
Opening net book amount as at January 1	\$ 313,143	\$ 535,418	\$ 307,355	\$ 6,982	\$ 2,533	\$ 8,587	\$ 36,428	\$ 32,277	\$ 1,242,723
Additions	-	247	130	-	-	165	682	36,336	37,560
Depreciation charge	-	(13,186)	(18,262)	(866)	(308)	(619)	(5,522)	-	(38,763)
Net exchange differences	-	(3,979)	(1,350)	11	(5)	-	676	(836)	(5,483)
Closing net book amount as at March 31	<u>\$ 313,143</u>	<u>\$ 518,500</u>	<u>\$ 287,873</u>	<u>\$ 6,127</u>	<u>\$ 2,220</u>	<u>\$ 8,133</u>	<u>\$ 32,264</u>	<u>\$ 67,777</u>	<u>\$ 1,236,037</u>
At March 31									
Cost	\$ 313,143	\$ 1,141,305	\$ 1,160,510	\$ 26,416	\$ 15,534	\$ 23,360	\$ 200,082	\$ 67,777	\$ 2,948,127
Accumulated depreciation	-	(608,131)	(851,812)	(20,289)	(12,898)	(15,227)	(167,515)	-	(1,675,872)
Accumulated impairment	-	(14,674)	(20,825)	-	(416)	-	(303)	-	(36,218)
	<u>\$ 313,143</u>	<u>\$ 518,500</u>	<u>\$ 287,873</u>	<u>\$ 6,127</u>	<u>\$ 2,220</u>	<u>\$ 8,133</u>	<u>\$ 32,264</u>	<u>\$ 67,777</u>	<u>\$ 1,236,037</u>

2024									
	Land	Buildings and structures	Machinery and equipment	Transportation equipment	Office equipment	Leasehold improvements	Other equipment	Construction in progress	Total
At January 1									
Cost	\$ 313,143	\$ 1,102,390	\$ 1,010,751	\$ 24,952	\$ 14,318	\$ 17,351	\$ 183,765	\$ 723	\$ 2,667,393
Accumulated depreciation	-	(534,877)	(803,275)	(19,171)	(12,694)	(12,733)	(154,183)	-	(1,536,933)
Accumulated impairment	-	(14,674)	(14,209)	-	-	-	-	-	(28,883)
	<u>\$ 313,143</u>	<u>\$ 552,839</u>	<u>\$ 193,267</u>	<u>\$ 5,781</u>	<u>\$ 1,624</u>	<u>\$ 4,618</u>	<u>\$ 29,582</u>	<u>\$ 723</u>	<u>\$ 1,101,577</u>
Opening net book amount as at January 1	\$ 313,143	\$ 552,839	\$ 193,267	\$ 5,781	\$ 1,624	\$ 4,618	\$ 29,582	\$ 723	\$ 1,101,577
Additions	-	-	8,553	-	315	440	8,290	14,486	32,084
Disposals	-	-	(1,153)	-	-	-	-	-	(1,153)
Depreciation charge	-	(13,556)	(15,742)	(675)	(269)	(400)	(4,467)	-	(35,109)
Reclassifications	-	-	13,684	-	53	-	2,472	-	16,209
Net exchange differences	-	13,185	6,650	219	9	-	845	50	20,958
Closing net book amount as at March 31	<u>\$ 313,143</u>	<u>\$ 552,468</u>	<u>\$ 205,259</u>	<u>\$ 5,325</u>	<u>\$ 1,732</u>	<u>\$ 4,658</u>	<u>\$ 36,722</u>	<u>\$ 15,259</u>	<u>\$ 1,134,566</u>
At March 31									
Cost	\$ 313,143	\$ 1,124,204	\$ 1,002,339	\$ 25,684	\$ 13,860	\$ 17,791	\$ 193,694	\$ 15,259	\$ 2,705,974
Accumulated depreciation	-	(557,062)	(782,867)	(20,359)	(12,128)	(13,133)	(156,972)	-	(1,542,521)
Accumulated impairment	-	(14,674)	(14,213)	-	-	-	-	-	(28,887)
	<u>\$ 313,143</u>	<u>\$ 552,468</u>	<u>\$ 205,259</u>	<u>\$ 5,325</u>	<u>\$ 1,732</u>	<u>\$ 4,658</u>	<u>\$ 36,722</u>	<u>\$ 15,259</u>	<u>\$ 1,134,566</u>

- A. Amount of borrowing costs capitalized as part of property, plant and equipment and the range of the interest rates for such capitalization: None.
- B. The significant components of buildings and structures include main plants and engineering systems, which are depreciated over 8~36 years and 5~25 years, respectively.
- C. Information about the property, plant and equipment that were pledged to others as collateral is provided in Note 8.
- D. The amount of reclassifications for the three months ended March 31, 2025 was reclassified from other non-current assets to property, plant and equipment.

(9) Leasing arrangements — lessee

- A. The Group leases various assets including land, buildings, business vehicles, and multifunction printers. Rental contracts for land are typically made for periods of 46 to 50 years, while the others are made for periods of 1 to 5 years. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose covenants, but leased assets may not be used as security for borrowing purposes.
- B. Short-term leases with a lease term of 12 months or less comprise leasing of warehouse, office, and business vehicles. Low-value assets comprise leasing of multifunction printers. The abovementioned leases were excluded from right-of-use assets.
- C. The carrying amount of right-of-use assets and the depreciation charge are as follows:

	Carrying amount		
	March 31, 2025	December 31, 2024	March 31, 2024
Land	\$ 70,996	\$ 73,688	\$ 74,275
Buildings	36,136	40,816	63,269
Business vehicles	2,631	2,992	3,844
	<u>\$ 109,763</u>	<u>\$ 117,496</u>	<u>\$ 141,388</u>

	Depreciation charge	
	Three months ended March 31,	
	2025	2024
Land	\$ 450	\$ 446
Buildings	5,385	7,151
Business vehicles	361	390
	<u>\$ 6,196</u>	<u>\$ 7,987</u>

- D. For the three months ended March 31, 2025 and 2024, the additions to right-of-use assets were \$557 and \$14,356, respectively.

E. The information on profit and loss accounts relating to lease contracts is as follows:

		Three months ended March 31,	
		2025	2024
<u>Items affecting profit or loss</u>			
Interest expense on lease liabilities	\$	238	\$ 440
Expense on short-term lease contracts		3,105	2,539
Expense on leases of low-value assets		14	17
Expense on variable lease payments		207	175

F. For the three months ended March 31, 2025 and 2024, the Group's total cash outflow for leases were \$7,559 and \$7,376, respectively.

G. Variable lease payments

Some of the Group's lease contracts contain variable lease payment terms that are linked to distance and hours which were used. Various lease payments that depend on distance and hours are recognized in profit or loss in the period in which the event or condition that triggers those payments occurs.

(10) Intangible asset

		2025			
		Patent Right	Goodwill	Others	Total
At January 1					
Cost	\$	24,100	\$ 45,247	\$ 7,639	\$ 76,986
Accumulated amortization	(	4,208)	-	-	(4,208)
Accumulated impairment		-	(14,916)	-	(14,916)
	\$	<u>19,892</u>	<u>\$ 30,331</u>	<u>\$ 7,639</u>	<u>\$ 57,862</u>
At January 1					
Cost	\$	19,892	\$ 30,331	\$ 7,639	\$ 57,862
Additions		-	-	543	543
Amortization charge	(	601)	-	(393)	(994)
At March 31	\$	<u>19,291</u>	<u>\$ 30,331</u>	<u>\$ 7,789</u>	<u>\$ 57,411</u>
At March 31					
Cost	\$	24,100	\$ 45,247	\$ 8,182	\$ 77,529
Accumulated amortization	(	4,809)	-	(393)	(5,202)
Accumulated impairment		-	(14,916)	-	(14,916)
	\$	<u>19,291</u>	<u>\$ 30,331</u>	<u>\$ 7,789</u>	<u>\$ 57,411</u>

	2024		
	Patent Right	Goodwill	Total
At January 1			
Cost	\$ 24,100	\$ 45,247	\$ 69,347
Accumulated amortization	(1,802)	-	(1,802)
	<u>\$ 22,298</u>	<u>\$ 45,247</u>	<u>\$ 67,545</u>
At January 1	\$ 22,298	\$ 45,247	\$ 67,545
Amortization charge	(601)	-	(601)
At March 31	<u>\$ 21,697</u>	<u>\$ 45,247</u>	<u>\$ 66,944</u>
At March 31			
Cost	\$ 24,100	\$ 45,247	\$ 69,347
Accumulated amortization	(2,403)	-	(2,403)
	<u>\$ 21,697</u>	<u>\$ 45,247</u>	<u>\$ 66,944</u>

A. The amounts recognized in amortization charge are listed below:

	Three months ended March 31,	
	2025	2024
General and administrative expenses	<u>\$ 994</u>	<u>\$ 601</u>

B. Amount of borrowing costs capitalized as part of intangible assets and the range of the interest rates for such capitalization: None.

C. For details regarding the consideration paid for the acquisition and the recognition of goodwill, please refer to Note 6 (30) of the 2024 consolidated financial statements.

D. Goodwill is allocated to the Group's cash-generating units identified by operating segments.

	March 31,2025	March 31,2024
Medical businesses	<u>\$ 30,331</u>	<u>\$ 45,247</u>

E. The recoverable amount is assessed based on value in use which is calculated using pre-tax cash flow forecasts from five-year financial budgets approved by management. The Group's recoverable amount calculated based on value in use exceeds the book value, so no impairment of goodwill has occurred. The key assumptions for the calculation of value in use, please refer to Note 6(11) in the consolidated financial statements for the year ended December 31, 2024.

F. The Group has no intangible assets pledged to others.

(11) Short-term borrowings

<u>Type of borrowings</u>	<u>March 31, 2025</u>	<u>Interest rate range</u>	<u>Collateral</u>
Bank borrowings			
Unsecured borrowings	\$ <u>45,000</u>	2.09%~2.10%	None

<u>Type of borrowings</u>	<u>December 31, 2024</u>	<u>Interest rate range</u>	<u>Collateral</u>
Bank borrowings			
Unsecured borrowings	\$ <u>45,000</u>	2.09%~2.015%	None

<u>Type of borrowings</u>	<u>March 31, 2024</u>	<u>Interest rate range</u>	<u>Collateral</u>
Bank borrowings			
Unsecured borrowings	\$ <u>45,000</u>	1.83%~1.89%	None

(12) Accounts payable

	<u>March 31, 2025</u>	<u>December 31, 2024</u>	<u>March 31, 2024</u>
Accounts payable	\$ 535,312	\$ 543,732	\$ 481,428
Estimated accounts payable	<u>100,224</u>	<u>60,567</u>	<u>50,531</u>
	<u>\$ 635,536</u>	<u>\$ 604,299</u>	<u>\$ 531,959</u>

(13) Other payables

	<u>March 31, 2025</u>	<u>December 31, 2024</u>	<u>March 31, 2024</u>
Insurance payable	\$ 76,611	\$ 74,948	\$ 74,249
Salaries and bonus payable	64,963	113,397	67,026
Cash dividends payable from capital surplus	44,132	-	-
Molds cost payable	34,734	51,116	32,553
Others	<u>83,877</u>	<u>101,727</u>	<u>100,340</u>
	<u>\$ 304,317</u>	<u>\$ 341,188</u>	<u>\$ 274,168</u>

(14) Long-term borrowings

<u>Type of borrowings</u>	<u>Borrowing period and repayment term</u>	<u>Interest rate range</u>	<u>Collateral</u>	<u>March 31, 2025</u>
Installment-repayment borrowings				
Secured borrowings	Borrowing period is from December 28, 2021 to December 28, 2028; interest is payable monthly.	1.97%	Please refer to Note 8	\$ 187,500
				<u>187,500</u>
Less: Current portion				(<u>50,000</u>)
				<u>\$ 137,500</u>

<u>Type of borrowings</u>	<u>Borrowing period and repayment term</u>	<u>Interest rate range</u>	<u>Collateral</u>	<u>December 31, 2024</u>
Installment-repayment borrowings				
Secured borrowings	Borrowing period is from December 28, 2021 to December 28, 2028; interest is payable monthly.	1.97%	Please refer to Note 8	\$ 200,000
				<u>200,000</u>
Less: Current portion				<u>(50,000)</u>
				<u>\$ 150,000</u>

<u>Type of borrowings</u>	<u>Borrowing period and repayment term</u>	<u>Interest rate range</u>	<u>Collateral</u>	<u>March 31, 2024</u>
Installment-repayment borrowings				
Secured borrowings	Borrowing period is from December 28, 2021 to December 28, 2028; interest is payable monthly.	1.85%	Please refer to Note 8	\$ 237,500
				<u>237,500</u>
Less: Current portion				<u>(50,000)</u>
				<u>\$ 187,500</u>

(15) Pensions

A. Defined benefit pension plan

- (a) The Company has a defined benefit pension plan in accordance with the Labor Standards Law, covering all regular employees' service years prior to the enforcement of the Labor Pension Act on July 1, 2005 and service years thereafter of employees who chose to continue to be subject to the pension mechanism under the Law. Under the defined benefit pension plan, two units are accrued for each year of service for the first 15 years and one unit for each additional year thereafter, subject to a maximum of 45 units. Pension benefits are based on the number of units accrued and the average monthly salaries and wages of the last 6 months prior to retirement. The Company contributes monthly an amount equal to 2% of the employees' monthly salaries and wages to the retirement fund deposited with Bank of Taiwan, the trustee, under the name of the independent retirement fund committee. Also, the Company would assess the balance in the aforementioned labor pension reserve account by the end of December 31, every year. If the account balance is insufficient to pay the pension calculated

by the aforementioned method to the employees expected to qualify for retirement in the following year, the Company will make contributions for the deficit by next March.

- (b) For the aforementioned pension plan, the Group recognised pension costs of (\$46) and (\$29) for the three months ended March 31, 2025 and 2024, respectively.
- (c) The Company has acquired the approval from the Hsinchu County Government to suspend continuous contribution to the defined benefit pension plan for 2025 and 2024.
- (d) The company has a long-term employee benefits plan, under which employees are rewarded with a bonus, a certificate of appreciation, or a trophy upon completing every five years of service. For the employee benefits plan, the Company recognized pension costs of \$226 and \$212 for the three months ended March 31, 2025 and 2024, respectively.

B. Defined contribution pension plan

- (a) Effective July 1, 2005, the Company and its domestic subsidiaries have established a defined contribution pension plan (the “New Plan”) under the Labor Pension Act (the “Act”), covering all regular employees with R.O.C. nationality. Under the New Plan, the Company and its domestic subsidiaries contribute monthly an amount based on 6% of the employees’ monthly salaries and wages to the employees’ individual pension accounts at the Bureau of Labor Insurance. The benefits accrued are paid monthly or in lump sum upon termination of employment.
- (b) The Company’s mainland China subsidiaries have a defined contribution plan. Monthly contributions to an independent fund administered by the government in accordance with the pension regulations in the People’s Republic of China (PRC) are based on certain percentage of employees’ monthly salaries and wages. The contribution for each employee was planned by PRC government. Other than the monthly contributions, the Group has no further obligations.
- (c) The pension costs under the defined contribution pension plans of the Group were \$8,227 and \$8,184 for the three months ended March 31, 2025 and 2024, respectively.

(16) Share capital

- A. As of March 31, 2025, the Company’s authorized capital was \$2,000,000, consisting of 200,000 thousand shares of ordinary stock, and the paid-in capital was \$892,631 with a par value of \$10 (in dollars) per share. All proceeds from shares issued have been collected.

Movements in the number of the Company’s ordinary shares in thousands outstanding are as follows:

	2025	2024
At January 1	88,263	89,263
Share buyback	-	(1,000)
At March 31	<u>88,263</u>	<u>88,263</u>

B. On March 25, 2025, the shareholders' meeting resolved not to proceed with the previously approved private placement of up to 15,000 thousand common shares or domestic convertible corporate bonds, as resolved in the shareholders' meeting on November 24, 2024. As of March 25, 2025, no private placement of common shares or domestic convertible corporate bonds had been executed under this fundraising plan.

C. Treasury Shares

(a) The Company's Board of Directors approved a share buyback program on December 22, 2023 to repurchase 1,000 thousand shares during the period from December 25, 2023 to February 23, 2024. The repurchase price range is between NT\$16.65 and NT\$35.35 per share. Details are summarized below:

		March 31, 2025	
<u>Name of company holding the shares</u>	<u>Reason for reacquisition</u>	<u>Number of shares (In thousands)</u>	<u>Carrying amount</u>
The Company	To be reissued to employees	1,000	\$ 25,619
		December 31, 2024	
<u>Name of company holding the shares</u>	<u>Reason for reacquisition</u>	<u>Number of shares (In thousands)</u>	<u>Carrying amount</u>
The Company	To be reissued to employees	1,000	\$ 25,619
		March 31, 2024	
<u>Name of company holding the shares</u>	<u>Reason for reacquisition</u>	<u>Number of shares (In thousands)</u>	<u>Carrying amount</u>
The Company	To be reissued to employees	1,000	\$ 25,619

(b) Pursuant to the R.O.C. Securities and Exchange Act, the number of shares bought back as treasury share should not exceed 10% of the number of the Company's issued and outstanding shares and the amount bought back should not exceed the sum of retained earnings, paid-in capital in excess of par value and realized capital surplus.

(c) Pursuant to the R.O.C. Securities and Exchange Act, treasury shares should not be pledged as collateral and is not entitled to dividends before it is reissued.

(d) Pursuant to the R.O.C. Securities and Exchange Act, treasury shares should be reissued to the employees within five years from the reacquisition date and shares not reissued within the five-year period are to be retired. Treasury shares to enhance the Company's credit rating and the stockholders' equity should be retired within six months of acquisition.

(17) Capital surplus

	<u>March 31, 2025</u>	<u>December 31, 2024</u>	<u>March 31, 2024</u>
Share premium	\$ 1,461,724	\$ 1,505,856	\$ 1,549,988
From business combinations	31,797	31,797	31,797
Treasury share transactions	76,571	76,571	76,571
Changes in ownership interests in subsidiaries	-	7,906	7,906
	<u>\$ 1,570,092</u>	<u>\$ 1,622,130</u>	<u>\$ 1,666,262</u>

- A. Pursuant to the R.O.C. Company Act, capital surplus arising from paid-in capital in excess of par value on issuance of common stocks and donations can be used to cover accumulated deficit or to issue new stocks or cash to shareholders in proportion to their share ownership, provided that the Company has no accumulated deficit. Further, the R.O.C. Securities and Exchange Act requires that the amount of capital surplus to be capitalized mentioned above should not exceed 10% of the paid-in capital each year. Capital surplus should not be used to cover accumulated deficit unless the legal reserve is insufficient.
- B. On April 9, 2024, the company's board of directors resolved a cash distribution of \$44,132 from the capital surplus (\$0.5 per share).
- C. On March 25, 2025, the company's board of directors resolved a cash distribution of \$44,132 from the capital surplus (\$0.5 per share).

(18) Retained earnings

- A. Under the Company's Articles of Incorporation, the current year's earnings, if any, shall first be used to pay all taxes and offset prior years' operating losses, set aside 10% of the remaining amount as legal reserve, then set aside or reverse a special reserve according to relevant regulations when necessary. The remainder, if any, to be retained or to be appropriated shall be proposed by the Board of Directors and resolved by the shareholders at the shareholders' meeting. The Board of Directors is authorized to distribute all or part of the dividends and bonuses, capital surplus or legal reserve that should be distributed in cash by a resolution approved by more than half of the directors present at a meeting with the presence of more than two-thirds of the directors. Such provisions does not require approval by the shareholders.
- B. The Company's dividend policy is summarized below: as the Company is in the stable growth stage, the residual dividend policy is adopted taking into consideration the Company's future capital expenditure plans and the financial structure. According to the dividend policy adopted by the Board of Directors, at least 1% of the Company's distributable earnings as of the end of the period shall be appropriated as cash or stock dividends, of which not more than 60% shall be paid in stock.
- C. Except for covering accumulated deficit or issuing new stocks or cash to shareholders in proportion to their share ownership, the legal reserve shall not be used for any other purpose.

The use of legal reserve for the issuance of stocks or cash to shareholders in proportion to their share ownership is permitted, provided that the distribution of the reserve is limited to the portion in excess of 25% of the Company's paid-in capital.

D. Special reserve

- (a) In accordance with the regulations, the Company shall set aside special reserve from the debit balance on other equity items at the balance sheet date before distributing earnings. When debit balance on other equity items is reversed subsequently, the reversed amount could be included in the distributable earnings.
- (b) The amounts previously set aside by the Company as special reserve on initial application of IFRSs in accordance with Order No. Financial-Supervisory-Securities-Corporate-1090150022, dated March 31, 2021, shall be reversed proportionately when the relevant assets are used, disposed of or reclassified subsequently.

E. Appropriation of earnings

- (a) The appropriations of 2023 earnings had been resolved at the annual shareholders' meeting on May 24, 2024. Details are summarized below:

	2023	
	Amount	Dividends per share (in dollars)
Legal reserve	\$ 7,869	
Special reserve	7,080	
Cash dividends	44,132	\$ 0.50

- (b) The offsetting of 2024 losses had been proposed at the Board of Directors' meeting on March 25, 2025. Details are summarized below:

	2024	
	Amount	Dividends per share (in dollars)
Legal reserve cover losses	(\$ 9,727)	
Reversal of special reserve	(89,208)	

As of May 8, 2025, the aforementioned offsetting of 2024 losses have not yet been resolved at the shareholders' meeting.

(19) Other equity items

	2025		
	Unrealized gains (losses) on valuation	Currency translation	Total
At January 1	\$ -	(\$ 280,708)	(\$ 280,708)
Currency translation differences:			
–Group	-	5,257	5,257
At March 31	<u>\$ -</u>	<u>(\$ 275,451)</u>	<u>(\$ 275,451)</u>

	2024		
	Unrealized gains (losses) on valuation	Currency translation	Total
At January 1	\$ -	(\$ 369,916)	(\$ 369,916)
Currency translation differences:			
–Group	-	73,511	73,511
At March 31	<u>\$ -</u>	<u>(\$ 296,405)</u>	<u>(\$ 296,405)</u>

(20) Operating revenue

	Three months ended March 31,	
	2025	2024
Revenue from contracts with customers	<u>\$ 890,413</u>	<u>\$ 759,665</u>

A. Disaggregation of revenue from contracts with customers

The Group derives revenue from the transfer of goods at a point in time in the following geographical regions:

Three months ended March 31, 2025	Domestic	Asia	Total
Total segment revenue	\$ 342,240	\$ 567,933	\$ 910,173
Inter-segment revenue	(2,008)	(17,752)	(19,760)
Revenue from external customer contracts	<u>\$ 340,232</u>	<u>\$ 550,181</u>	<u>\$ 890,413</u>

Three months ended March 31, 2024	Domestic	Asia	Total
Total segment revenue	\$ 249,164	\$ 521,253	\$ 770,417
Inter-segment revenue	(3,425)	(7,327)	(10,752)
Revenue from external customer contracts	<u>\$ 245,739</u>	<u>\$ 513,926</u>	<u>\$ 759,665</u>

B. Contract liabilities

(a) The Group has recognized the following revenue-related contract liabilities:

	<u>March 31, 2025</u>	<u>December 31, 2024</u>	<u>March 31, 2024</u>	<u>January 1, 2024</u>
Contract liabilities:	\$ <u>3,449</u>	\$ <u>1,900</u>	\$ <u>10,112</u>	\$ <u>4,082</u>

(b) Revenue recognized that was included in the contract liability balance at the beginning of the year is summarized below:

	<u>Three months ended March 31,</u>	
	<u>2025</u>	<u>2024</u>
Revenue recognized	\$ <u>-</u>	\$ <u>442</u>

(21) Interest income

	<u>Three months ended March 31,</u>	
	<u>2025</u>	<u>2024</u>
Interest income from bank deposits	\$ 3,593	\$ 3,867
Interest income from financial assets at amortized cost	1	2,250
Other interest income	15	21
	<u>\$ 3,609</u>	<u>\$ 6,138</u>

(22) Other income

	<u>Three months ended March 31,</u>	
	<u>2025</u>	<u>2024</u>
Subsidy income	\$ 1,295	135
Solar revenue	373	432
Molds revenue	706	\$ 713
Other income	1,185	1,398
	<u>\$ 3,559</u>	<u>\$ 2,678</u>

(23) Other gains and losses

	<u>Three months ended March 31,</u>	
	<u>2025</u>	<u>2024</u>
Gain on disposal of property, plant and equipment	\$ -	\$ 2,833
Foreign exchange gains	7,153	19,668
Loss on financial assets and liabilities at fair value through profit or loss	(4,655)	(12,522)
Miscellaneous disbursements	(622)	19
	<u>\$ 1,876</u>	<u>\$ 9,998</u>

(24) Finance costs

	Three months ended March 31,	
	2025	2024
Interest expense from bank borrowings	\$ 1,199	\$ 1,362
Interest expense from lease liabilities	238	440
	<u>\$ 1,437</u>	<u>\$ 1,802</u>

(25) Expenses by nature

	Three months ended March 31,	
	2025	2024
Employee benefit expense		
Wages and salaries	\$ 168,736	\$ 163,083
Labour and health insurance fees	13,415	13,498
Pension costs	8,407	8,367
Other personnel expenses	<u>10,635</u>	<u>10,460</u>
	<u>\$ 201,193</u>	<u>\$ 195,408</u>
Depreciation charges on property, plant and equipment	\$ 38,763	\$ 35,109
Depreciation charges on right-of-use assets	6,196	7,987
Amortization charges on intangible asset	994	601
Amortization charges on molds	2,850	3,256

(26) Employee benefit expense

- A. In accordance with the Articles of Incorporation of the Company, a ratio of profit before tax, before the distribution of employees' compensation and directors' remuneration, of the current year, after covering accumulated losses, shall be distributed as employees' compensation and directors' remuneration. The ratio shall not be lower than 8% for employees' compensation and shall not be higher than 3% for directors' remuneration. Employees' compensation may be paid in the form of shares or in cash, and employees from affiliated companies who meet certain conditions are entitled to the distribution.
- B. As the Company still had accumulated deficits after offsetting losses against the net income before income tax for the period from January 1 to March 31, 2025, no accruals were made for employees' compensation and directors' remuneration as of the end of the reporting period.
- C. For the three months ended March 31, 2025 and 2024, the Company had a net loss before income tax, therefore, the Company did not accrue employees' compensation and directors' remuneration at the end of reporting period.
- D. Information about employees' compensation and directors' remuneration of the Company as resolved at the meeting of Board of Directors and Shareholders will be posted in the "Market Observation Post System" at the website of the Taiwan Stock Exchange.

(27) Income tax

A. Components of income tax expense

	<u>Three months ended March 31,</u>	
	<u>2025</u>	<u>2024</u>
Current tax:		
Current tax for the period	\$ 18,362	\$ 11,283
Prior year income tax under estimation	<u>404</u>	<u>-</u>
Total current tax	<u>18,766</u>	<u>11,283</u>
Deferred tax:		
Origination and reversal of temporary differences	(<u>15,995</u>)	<u>7,662</u>
Income tax expense	<u>\$ 2,771</u>	<u>\$ 18,945</u>

B. The Company's income tax returns through 2022 have been assessed and approved by the Tax Authority.

C. The domestic subsidiaries' income tax returns through 2023 have been assessed and approved by the Tax Authority.

(28) Profit (loss) per share

	<u>Three months ended March 31, 2025</u>		
	<u>Profit for</u>	<u>Weighted average</u>	<u>Profit per share</u>
	<u>the period</u>	<u>number of ordinary</u>	<u>(in dollars)</u>
		<u>shares outstanding</u>	
		<u>(shares in thousands)</u>	
<u>Basic and diluted profit per share</u>			
Profit attributable to the parent	<u>\$ 7,967</u>	<u>88,263</u>	<u>\$ 0.09</u>
	<u>Three months ended March 31, 2024</u>		
	<u>Loss for</u>	<u>Weighted average</u>	<u>Loss per share</u>
	<u>the period</u>	<u>number of ordinary</u>	<u>(in dollars)</u>
		<u>shares outstanding</u>	
		<u>(shares in thousands)</u>	
<u>Basic and diluted loss per share</u>			
Loss attributable to the parent	<u>(\$ 20,320)</u>	<u>88,438</u>	<u>(\$ 0.23)</u>

(29) Supplemental cash flow information

A. Investing activities with partial cash payments:

	<u>Three months ended March 31,</u>	
	<u>2025</u>	<u>2024</u>
Purchase of property, plant and equipment	\$ 37,560	\$ 32,084
Add: Opening balance of payable on equipment	17,593	11,381
Opening balance of payable on construction	696	627
Less: Ending balance of payable on equipment	(13,976)	(29,532)
Ending balance of payable on construction	(228)	(515)
Cash paid during the year	<u>\$ 41,645</u>	<u>\$ 14,045</u>

(30) Changes in liabilities from financing activities

	<u>2025</u>				
	<u>Short-term</u>	<u>Long-term</u>	<u>Lease</u>	<u>Guarantee</u>	<u>Total</u>
	<u>borrowings</u>	<u>borrowings</u>	<u>liabilities</u>	<u>deposit</u>	
	<u>received</u>				
At January 1	\$ 45,000	\$ 200,000	\$ 41,158	\$ 1,375	\$ 287,533
Changes in cash flow from financing activities	-	(12,500)	(4,233)	-	(16,733)
Changes in other non-cash items	-	-	795	-	795
Impact of changes in foreign exchange rate	-	-	121	8	129
At March 31	<u>\$ 45,000</u>	<u>\$ 187,500</u>	<u>\$ 37,841</u>	<u>\$ 1,383</u>	<u>\$ 271,724</u>

	<u>2024</u>				
	<u>Short-term</u>	<u>Long-term</u>	<u>Lease</u>	<u>Guarantee</u>	<u>Total</u>
	<u>borrowings</u>	<u>borrowings</u>	<u>liabilities</u>	<u>deposit</u>	
	<u>received</u>				
At January 1	\$ 45,000	\$ 257,633	\$ 54,997	\$ 1,192	\$ 358,822
Changes in cash flow from financing activities	-	(20,133)	(4,645)	-	(24,778)
Changes in other non-cash items	-	-	14,796	-	14,796
Impact of changes in foreign exchange rate	-	-	633	16	649
At March 31	<u>\$ 45,000</u>	<u>\$ 237,500</u>	<u>\$ 65,781</u>	<u>\$ 1,208</u>	<u>\$ 349,489</u>

7. Related Party Transactions

(1) Names of related parties and relationship

<u>Names of related parties</u>	<u>Relationship with the Group</u>
Shin Zu Shing Co., Ltd.	Other related party

(2) Significant related party transactions

A. Operating revenue:

	<u>Three months ended March 31,</u>	
	<u>2025</u>	<u>2024</u>
Sales of goods:		
Other related parties	<u>\$ 1,503</u>	<u>\$ 816</u>

There is no significant difference between the sales price and credit terms from non-related parties.

B. Lease transactions-lessee

- (a) The Company leases a property from Shin Zu Shing Co., Ltd., with a lease term from January 1 to December 31, 2025. The monthly rental, management fees, and other expenses advanced by related parties are paid on a monthly basis. The lease agreement includes a priority right of renewal. Based on our medium-term operational planning period of 3 years, the right-of-use asset acquired amounts to \$44,436. The amount does not exceed the price assessed according to the “Regulations Governing the Acquisition and Disposal of Assets by Public Companies”, which is \$46,657.
- (b) On December 22, 2023, by resolution of the Board of Directors, the Company has decided to re-sign the building lease agreement with Shin Zu Shing Co., Ltd. The lease period is from January 1, 2024 to December 31, 2026. Rent expense, administrative expenses and disbursement fee made by the related party are paid on a monthly basis. Upon lease expiration, the Company will have the preferential lease right to renew. The right-of-use assets increased by \$14,356, bringing the total book value to \$43,980. This amount does not exceed the appraised value of \$46,401, as assessed in accordance with the “Regulations Governing the Acquisition and Disposal of Assets by Public Companies.”

(c) Right-of-use assets

i. Carrying amount

	<u>March 31, 2025</u>	<u>December 31, 2024</u>	<u>March 31, 2024</u>
Shin Zu Shing Co., Ltd.	\$ <u>26,142</u>	\$ <u>29,320</u>	\$ <u>40,314</u>

ii. Depreciation charge

	<u>Three months ended March 31,</u>	
	<u>2025</u>	<u>2024</u>
Shin Zu Shing Co., Ltd.	\$ <u>3,735</u>	\$ <u>3,666</u>

(d) Lease liabilities

i. Carrying amount

	<u>March 31, 2025</u>	<u>December 31, 2024</u>	<u>March 31, 2024</u>
Shin Zu Shing Co., Ltd.	\$ <u>26,560</u>	\$ <u>29,725</u>	\$ <u>40,600</u>

ii. Interest expense

	<u>Three months ended March 31,</u>	
	<u>2025</u>	<u>2024</u>
Shin Zu Shing Co., Ltd.	\$ <u>139</u>	\$ <u>193</u>

(e) Rent expense, administrative expenses and disbursement fee

	<u>Three months ended March 31,</u>	
	<u>2025</u>	<u>2024</u>
Shin Zu Shing Co., Ltd.	\$ <u>677</u>	\$ <u>632</u>

C. Receivable from related parties

	<u>March 31, 2025</u>	<u>December 31, 2024</u>	<u>March 31, 2024</u>
Accounts receivable:			
Other related parties	\$ <u>1,036</u>	\$ <u>2,549</u>	\$ <u>454</u>

D. Payables to related parties

	<u>March 31, 2025</u>	<u>December 31, 2024</u>	<u>March 31, 2024</u>
Other payable:			
Other related parties	\$ <u>387</u>	\$ <u>217</u>	\$ <u>126</u>

(3) Key management compensation

	<u>Three months ended March 31,</u>	
	<u>2025</u>	<u>2024</u>
Short-term employee benefits	\$ <u>5,133</u>	\$ <u>5,431</u>
Post-employment benefits	<u>141</u>	<u>171</u>
	\$ <u>5,274</u>	\$ <u>5,602</u>

8. Pledged Assets

The Group's assets pledged as collateral are as follows:

<u>Pledged asset</u>	<u>Book value</u>			<u>Purpose</u>
	<u>March 31, 2025</u>	<u>December 31, 2024</u>	<u>March 31, 2024</u>	
Financial assets at amortized cost - current	\$ 278	\$ 547	\$ 271	Bank secured borrowings and customs guarantee
Financial assets at amortized cost - non-current	403	-	413	Contract bond
Property, plant, and equipment				
Land	273,059	273,059	273,059	Bank secured borrowings
Buildings and structures	134,328	136,646	143,601	Bank secured borrowings
Other non-current assets				
Guarantee deposits paid	10,222	9,720	8,797	Rental deposit

9. Significant Contingent Liabilities and Unrecognized Contract Commitments

Commitments

As of March 31, 2025, the Group had opened unused letters of credit for importing inventories and equipment of \$1,920.

10. Significant Disaster Loss

None.

11. Significant Events after the Balance Sheet Date

None

12. Others

(1) Capital management

The current period did not involve significant transactions or material changes, please refer to Note 12 of the consolidated financial statements for the year ended December 31, 2024.

(2) Financial instruments

A. Financial instruments by category

	<u>March 31, 2025</u>	<u>December 31, 2024</u>	<u>March 31, 2024</u>
<u>Financial assets</u>			
Financial assets mandatorily measured at fair value through profit or loss (current and non-current)	\$ 29,755	\$ 30,477	\$ 34,901
Financial assets at fair value through other comprehensive income	8,820	8,778	6,200
Financial assets at amortized cost			
Cash and cash equivalents	913,527	1,120,889	1,210,944
Financial assets at amortized cost (current and non-current)	681	547	193,993
Notes receivable, net	21,310	22,726	16,405
Accounts receivable, net	1,243,092	1,124,521	1,115,192
Accounts receivable-related parties, net	1,036	2,549	454
Other receivables	128,935	128,642	103,411
Finance lease receivable, net (current and non-current)	1,813	1,769	3,464
Guarantee deposits paid	<u>10,222</u>	<u>9,720</u>	<u>8,797</u>
	<u>\$ 2,359,191</u>	<u>\$ 2,450,618</u>	<u>\$ 2,693,761</u>
	<u>March 31, 2025</u>	<u>December 31, 2024</u>	<u>March 31, 2024</u>
<u>Financial liabilities</u>			
Financial liabilities mandatorily measured at fair value through profit or loss	\$ 1,900	\$ 5,710	\$ 3,567
Financial liabilities at amortized cost			
Short-term borrowings	45,000	45,000	45,000
Accounts payable	635,536	604,299	531,959
Other payables	304,317	341,188	274,168
Other payables-related parties	387	217	126
Long-term borrowings (including current portion)	187,500	200,000	237,500
Guarantee deposits received	<u>1,383</u>	<u>1,375</u>	<u>1,208</u>
	<u>\$ 1,176,023</u>	<u>\$ 1,197,789</u>	<u>\$ 1,093,528</u>
Lease liabilities (current and non-current)	<u>\$ 37,841</u>	<u>\$ 41,158</u>	<u>\$ 65,781</u>

B. Financial risk management policies

There was no significant transaction and change in the reporting period. Please refer to Note 12 in the consolidated financial statements for the year ended December 31, 2024.

C. Significant financial risks and degrees of financial risks

(a) Market risk

Foreign exchange risk

- i. The Group engages in sales and purchases denominated in foreign currencies and are exposed to exchange rate fluctuations. The Group manages exchange rate risks within the scope permitted by the policy, using forward foreign exchange contracts to manage risks.
- ii. The Group's businesses involve some non-functional currency operations (the Company's and domestic subsidiaries' functional currency: NTD; other certain subsidiaries' functional currency: RMB, USD, and VND). The information on assets and liabilities denominated in foreign currencies whose values would be materially affected by the exchange rate fluctuations is as follows:

March 31, 2025			
(Foreign currency: functional currency)	Foreign currency amount		Book value
	<u>(In thousands)</u>	<u>Exchange rate</u>	<u>(NTD)</u>
<u>Financial assets</u>			
<u>Monetary items</u>			
USD:NTD	\$ 7,507	33.2050	\$ 249,270
USD:RMB	13,287	7.1782	441,195
USD:VND	2,855	25,550	94,800
<u>Financial liabilities</u>			
<u>Monetary items</u>			
USD:NTD	\$ 857	33.2050	\$ 28,457
USD:RMB	1,456	7.1782	48,346
USD:VND	1,269	25,550	42,137

December 31, 2024			
(Foreign currency: functional currency)	Foreign currency amount		Book value
	(In thousands)	Exchange rate	(NTD)
<u>Financial assets</u>			
<u>Monetary items</u>			
USD:NTD	\$ 6,852	32.7850	\$ 224,643
USD:RMB	13,428	7.1880	440,237
USD:VND	3,733	24,335	122,386
<u>Financial liabilities</u>			
<u>Monetary items</u>			
USD:NTD	\$ 489	32.7850	\$ 16,032
USD:RMB	2,242	7.1880	73,504
USD:VND	906	24,335	29,703

March 31, 2024			
(Foreign currency: functional currency)	Foreign currency amount		Book value
	(In thousands)	Exchange rate	(NTD)
<u>Financial assets</u>			
<u>Monetary items</u>			
USD:NTD	\$ 6,569	32.0000	\$ 210,208
USD:RMB	16,766	7.0950	536,512
USD:VND	3,942	24,003	126,144
<u>Financial liabilities</u>			
<u>Monetary items</u>			
USD:NTD	\$ 441	32.0000	\$ 14,112
USD:RMB	2,620	7.0950	83,840
USD:VND	126	24,003	4,032

- iii. Total exchange gains (losses), including realized and unrealized, arising from significant foreign exchange variation on the monetary items held by the Group for the three months ended March 31, 2025 and 2024, amounted to \$7,153 and \$19,668, respectively.

- iv. Analysis of foreign currency market risk arising from significant foreign exchange variation:

Three months ended March 31, 2025				
Sensitivity analysis				
	Degree of <u>variation</u>	Effect on <u>profit or loss</u>	Effect on other comprehensive <u>income</u>	
(Foreign currency: functional currency)				
<u>Financial assets</u>				
<u>Monetary items</u>				
USD:NTD	1%	\$ 2,493	\$	-
USD:RMB	1%	4,412		-
USD:VND	1%	948		-
<u>Financial liabilities</u>				
<u>Monetary items</u>				
USD:NTD	1%	\$ 285	\$	-
USD:RMB	1%	483		-
USD:VND	1%	421		-
Three months ended March 31, 2024				
Sensitivity analysis				
	Degree of <u>variation</u>	Effect on <u>profit or loss</u>	Effect on other comprehensive <u>income</u>	
(Foreign currency: functional currency)				
<u>Financial assets</u>				
<u>Monetary items</u>				
USD:NTD	1%	\$ 2,102	\$	-
USD:RMB	1%	5,365		-
USD:VND	1%	1,261		-
<u>Financial liabilities</u>				
<u>Monetary items</u>				
USD:NTD	1%	\$ 141	\$	-
USD:RMB	1%	838		-
USD:VND	1%	40		-

Cash flow and fair value interest rate risk

- i. The Group's main interest rate risk arises from long-term borrowings with variable rates, which expose the Group to cash flow interest rate risk. For the three months ended March 31, 2025 and 2024, the Group's borrowings at variable rate were mainly denominated in New Taiwan dollars.
- ii. If the borrowing interest rate of New Taiwan dollars had increased/decreased by 4 basis points with all other variables held constant, profit, net of tax for the three months ended March 31, 2025 and 2024 would have increased/decreased by \$1,500 and \$1,900, respectively. The main factor is that changes in interest expense result from floating rate borrowings.

(b) Credit risk

- i. Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Group. As at the end of the reporting period, the Group's maximum exposure to credit risk which will cause a financial loss to the Group due to default by the counterparties and financial guarantees provided by the Group arises from:
 - (i) The carrying amount of the respective recognized financial assets as stated in the balance sheets;
 - (ii) The amount of contingent liabilities in relation to financial guarantee issued by the Group.
- ii. In order to mitigate the credit risk, the Group will conduct credit rating for the transaction object and obtain sufficient security if necessary to mitigate the risk of financial loss due to default. If such information is not available, the Group will use other publicly available financial information and mutual transaction records to rate key customers. The Group will continue to monitor the credit risk and the credit rating of the counterparty through the determination of the credit line and the approval of the credit line. In addition, the Group reviews the recoverable amounts of receivables individually at the balance sheet date to ensure that appropriate impairment losses have been provided for unrecoverable receivables. Accordingly, the Group's management believes that the Group's credit risk has been significantly reduced.
- iii. The Group adopts the following assumption under IFRS 9 to assess whether there has been a significant increase in credit risk on that instrument since initial recognition: If the contract payments were past due over 90 days based on the terms, there has been a significant increase in credit risk on that instrument since initial recognition.
- iv. In line with credit risk management procedure, when there is evidence that the counterparty faces serious financial difficulties and the Group cannot reasonably expect to recover the amount, for example, the counterparty is in liquidation, the Group considers that the counterparty has signs of default.
- v. The Group wrote-off the financial assets, which cannot be reasonably expected to be

recovered, after initiating recourse procedures. However, the Group will continue executing the recourse procedures to secure their rights.

- vi. The Group applies the modified approach using a provision matrix to estimate expected credit loss under the provision matrix basis. Based on the Group's historical experience, there is no significant difference in the loss patterns among different customer groups. The provision matrix does not further differentiate customer groups, and only sets the expected credit loss rate based on the number of days overdue for receivable, except for individual cases that need to be evaluated separately.
- vii. The Group used the forecastability to adjust historical and timely information to assess the default possibility of accounts receivable. On March 31, 2025, December 31, 2024 and March 31, 2024, the provision matrix is as follows:

<u>March 31, 2025</u>	<u>Expected loss rate</u>	<u>Total book value</u>	<u>Loss allowance</u>
Not past due	0%	\$ 1,223,299	\$ -
Up to 90 days	0%	19,793	-
Over 91 days	100%	1,220	1,220
		<u>\$ 1,244,312</u>	<u>\$ 1,220</u>

<u>December 31, 2024</u>	<u>Expected loss rate</u>	<u>Total book value</u>	<u>Loss allowance</u>
Not past due	0%	\$ 1,112,733	\$ -
Up to 90 days	0%	11,788	-
Over 91 days	100%	2,206	2,206
		<u>\$ 1,126,727</u>	<u>\$ 2,206</u>

<u>March 31, 2024</u>	<u>Expected loss rate</u>	<u>Total book value</u>	<u>Loss allowance</u>
Not past due	0%	\$ 1,085,488	\$ -
Up to 90 days	0%	29,704	-
Over 91 days	100%	5,040	5,040
		<u>\$ 1,120,232</u>	<u>\$ 5,040</u>

- viii. Movements in relation to the Group applying the modified approach to provide loss allowance for accounts receivable are as follows:

	<u>2025</u>		
	<u>Accounts receivable</u>	<u>Molds receivable</u>	<u>Total</u>
At January 1	\$ 2,206	\$ -	\$ 2,206
Reversal of impairment loss	(990)	-	(990)
Effect of foreign rate exchange	4	-	4
At March 31	<u>\$ 1,220</u>	<u>\$ -</u>	<u>\$ 1,220</u>

	2024		
	Accounts receivable	Molds receivable	Total
At January 1	\$ 578	\$ 6,007	\$ 6,585
Provision for (reversal of) impairment loss	4,387	(397)	3,990
Effect of foreign rate exchange	75	235	310
At March 31	<u>\$ 5,040</u>	<u>\$ 5,845</u>	<u>\$ 10,885</u>

(c) Liquidity risk

- i. Cash flow forecasting is performed in the operating entities of the Group and aggregated by the Group's Corporate Treasury function. The Group's Corporate Treasury function monitors rolling forecasts of the Group's liquidity requirements to ensure it has sufficient cash to meet operational needs while maintaining sufficient headroom on its undrawn committed borrowing facilities at all times so that the Group does not breach borrowing limits or covenants on any of its borrowing facilities. Such forecasting takes into consideration the Group's debt financing plans, covenant compliance, compliance with internal balance sheet ratio targets and external regulatory or legal requirements.
- ii. The Group has the following undrawn borrowing facilities:

	<u>March 31, 2025</u>	<u>December 31, 2024</u>	<u>March 31, 2024</u>
Floating rate:			
Expiring within one year	\$ 2,001,362	\$ 1,990,909	\$ 2,261,142
Expiring beyond one year	-	-	-

- iii. The table below analyses the Group's non-derivative financial liabilities into relevant maturity groupings based on the remaining period at the balance sheet date to the contractual maturity date. The amounts disclosed in the table are the contractual undiscounted cash flows.

	Less than 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years
<u>March 31, 2025</u>				
<u>Non-derivative financial liabilities</u>				
Short-term borrowings	\$ 45,046	\$ -	\$ -	\$ -
Accounts payable	635,536	-	-	-
Other payables	304,317	-	-	-
Other payables-related parties	387	-	-	-
Lease liabilities	25,722	12,647	160	-
Long-term borrowings (including current portion)	53,694	53,694	93,956	-
Guarantee deposits received	1,383	-	-	-
<u>Derivative financial liabilities</u>				
Forward foreign exchange contracts	\$ 1,900	\$ -	\$ -	\$ -

	Less than 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years
<u>December 31, 2024</u>				
<u>Non-derivative financial liabilities</u>				
Short-term borrowings	\$ 45,036	\$ -	\$ -	\$ -
Accounts payable	604,299	-	-	-
Other payables	341,188	-	-	-
Other payables-related parties	217	-	-	-
Lease liabilities	25,295	16,524	214	-
Long-term borrowings (including current portion)	53,940	53,940	107,858	-
Guarantee deposits received	1,375	-	-	-
<u>Derivative financial liabilities</u>				
Forward foreign exchange contracts	\$ 5,710	\$ -	\$ -	\$ -
	Less than 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years
<u>March 31, 2024</u>				
<u>Non-derivative financial liabilities</u>				
Short-term borrowings	\$ 45,106	\$ -	\$ -	\$ -
Accounts payable	531,959	-	-	-
Other payables	274,168	-	-	-
Other payables-related parties	126	-	-	-
Lease liabilities	27,149	26,960	13,663	-
Long-term borrowings (including current portion)	54,394	54,394	149,574	-
Guarantee deposits received	1,208	-	-	-
<u>Derivative financial liabilities</u>				
Forward foreign exchange contracts	\$ 3,567	\$ -	\$ -	\$ -

(3) Fair value information

A. The different levels that the inputs to valuation techniques are used to measure fair value of financial and non-financial instruments have been defined as follows:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date. A market is regarded as active where a market in which transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis. The Group has no related investment.

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly. The fair value of the Group's investment in

derivative instruments is included in Level 2.

Level 3: Unobservable inputs for the asset or liability. The fair value of the Group's investment in equity investment without active market is included in Level 3.

- B. The carrying amounts of cash and cash equivalents, notes receivable, net, accounts receivable (including related parties), net, finance lease receivable, net, other receivables, guarantee deposits paid, short-term borrowings, accounts payable, other payables (including related parties), lease liabilities, long-term borrowings (including current portion), and guarantee deposits received are approximate to their fair values.
- C. The related information on financial instruments measured at fair value by level on the basis of the nature, characteristics and risks of the assets and liabilities is as follows:
- (a) The related information on the nature of the assets and liabilities is as follows:

<u>March 31, 2025</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
Assets				
<u>Recurring fair value measurements</u>				
Financial assets at fair value through profit or loss				
Forward foreign exchange contracts	\$ -	\$ 228	\$ -	\$ 228
Private equity fund	-	-	29,527	29,527
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	8,820	8,820
	<u>\$ -</u>	<u>\$ 228</u>	<u>\$ 38,347</u>	<u>\$ 38,575</u>
Liabilities				
<u>Recurring fair value measurements</u>				
Financial liabilities at fair value through profit or loss				
Forward foreign exchange contracts	<u>\$ -</u>	<u>\$ 1,900</u>	<u>\$ -</u>	<u>\$ 1,900</u>

<u>December 31, 2024</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
Assets				
<u>Recurring fair value measurements</u>				
Financial assets at fair value through profit or loss				
Private equity fund	\$ -	\$ -	\$ 30,477	\$ 30,477
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	8,778	8,778
	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 39,255</u>	<u>\$ 39,255</u>
Liabilities				
<u>Recurring fair value measurements</u>				
Financial liabilities at fair value through profit or loss				
Forward foreign exchange contracts	\$ -	\$ 5,710	\$ -	\$ 5,710
	<u>\$ -</u>	<u>\$ 5,710</u>	<u>\$ -</u>	<u>\$ 5,710</u>
<u>March 31, 2024</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
Assets				
<u>Recurring fair value measurements</u>				
Financial assets at fair value through profit or loss				
Forward foreign exchange contracts	\$ -	\$ 2,184	\$ -	\$ 2,184
Private equity fund	-	-	32,717	32,717
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	6,200	6,200
	<u>\$ -</u>	<u>\$ 2,184</u>	<u>\$ 38,917</u>	<u>\$ 41,101</u>
Liabilities				
<u>Recurring fair value measurements</u>				
Financial liabilities at fair value through profit or loss				
Forward foreign exchange contracts	\$ -	\$ 3,567	\$ -	\$ 3,567
	<u>\$ -</u>	<u>\$ 3,567</u>	<u>\$ -</u>	<u>\$ 3,567</u>

(b) The methods and assumptions the Group used to measure fair value are as follows:

- i. Except for financial instruments with active markets, the fair value of other financial instruments is measured by using valuation techniques or by reference to counterparty quotes. The fair value of financial instruments measured by using valuation techniques can be referred to current fair value of instruments with similar terms and characteristics in substance, discounted cash flow method or other valuation methods, including calculated by applying model using market information available at the consolidated balance sheet date.
- ii. When assessing non-standard and low-complexity financial instruments, for example, interest rate swap contracts and foreign exchange swap contracts, the Group adopts valuation technique that is widely used by market participants. The inputs used in the

valuation method to measure these financial instruments are normally observable in the market.

- iii. The valuation of derivative financial instruments is based on valuation model widely accepted by market participants, such as present value techniques and option pricing models. Forward exchange contracts are usually valued based on the current forward exchange rate.
 - iv. The output of valuation model is an estimated value and the valuation technique may not be able to capture all relevant factors of the Group's financial and non-financial instruments. Therefore, the estimated value derived using valuation model is adjusted accordingly with additional inputs, for example, model risk or liquidity risk and etc. In accordance with the Group's management policies and relevant control procedures relating to the valuation models used for fair value measurement, management believes adjustment to valuation is necessary in order to reasonably represent the fair value of financial and non-financial instruments at the consolidated balance sheet. The inputs and pricing information used during valuation are carefully assessed and adjusted based on current market conditions.
- D. For the three months ended March 31, 2025 and 2024, there was no transfer between Level 1 and Level 2.
- E. The following chart is the movement of Level 3 for the three months ended March 31, 2025 and 2024:

	Equity instrument	
	2025	2024
At January 1	\$ 39,255	\$ 28,173
Recognized in profit or loss	(950)	(1,386)
Purchase during the period	-	12,000
Effect of exchange rate changes	42	130
At March 31	<u>\$ 38,347</u>	<u>\$ 38,917</u>

- F. Information relating to transfer out amounting to \$0 from Level 3 for the three months ended March 31, 2025 and 2024 is provided.
- G. Investing segment is in charge of valuation procedures for fair value measurements being categorised within Level 3, which is to verify independent fair value of financial instruments. Such assessment is to ensure the valuation results are reasonable by applying independent information to make results close to current market conditions, confirming the resource of information is independent, reliable and in line with other resources and represented as the exercisable price, and frequently calibrating valuation model, performing back-testing, updating inputs used to the valuation model and making any other necessary adjustments to the fair value. Investment segment set up valuation policies, valuation processes and rules for measuring fair

value of financial instruments and ensure compliance with the related requirements in IFRS.

H. The following is the qualitative information of significant unobservable inputs and sensitivity analysis of changes in significant unobservable inputs to valuation model used in Level 3 fair value measurement:

	<u>March 31, 2025</u>	<u>Valuation technique</u>	<u>Significant unobservable input</u>	<u>Range (weighted average)</u>	<u>Relationship of inputs to fair value</u>
Equity instrument: Unlisted shares	\$ 8,820	Market comparable companies	Price to earnings ratio multiple, discount for lack of marketability	Not applicable	The higher the multiple, the higher the fair value; the higher the discount for lack of marketability, the lower the fair value.
Private equity fund	29,527	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.
	<u>December 31,2024</u>	<u>Valuation technique</u>	<u>Significant unobservable input</u>	<u>Range (weighted average)</u>	<u>Relationship of inputs to fair value</u>
Equity instrument: Unlisted shares	\$ 8,778	Market comparable companies	Price to earnings ratio multiple, discount for lack of marketability	Not applicable	The higher the multiple, the higher the fair value; the higher the discount for lack of marketability, the lower the fair value.
Private equity fund	30,477	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.

	March 31, 2024	Valuation technique	Significant unobservable input	Range (weighted average)	Relationship of inputs to fair value
Equity instrument:					
Unlisted shares	\$ 6,200	Market comparable companies	Price to earnings ratio multiple, discount for lack of marketability	Not applicable	The higher the multiple, the higher the fair value; the higher the discount for lack of marketability, the lower the fair value.
Private equity fund	32,717	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.

13. Supplementary Disclosures

(1) Significant transactions information

- A. Loans to others: Refer to table 1.
- B. Provision of endorsements and guarantees to others: Refer to table 2.
- C. Holding of marketable securities at the end of the period (not including subsidiaries, associates and joint ventures): Refer to table 3.
- D. Purchases or sales of goods from or to related parties reaching \$100 million or 20% of paid-in capital or more: None.
- E. Receivables from related parties reaching \$100 million or 20% of paid-in capital or more: None.
- F. Significant inter-company transactions during the reporting period: None.

(2) Information on investees

Names, locations and other information of investee companies (not including investees in Mainland China): Refer to table 4.

(3) Information on investments in Mainland China

- A. Basic information: Refer to table 5.
- B. Significant transactions, either directly or indirectly through a third area, with investee companies in the Mainland Area: None.

14. Segment Information

(1) General information

- A. Management has determined the reportable operating segments based on the reports reviewed by Board of Directors that are used to make strategic decisions.
- B. There is no material change in the basis for formation of entities and division of segments in the Group or in the measurement basis for segment information during this period.

(2) Information about segment profit or loss, assets and liabilities

The segment information provided to the chief operating decision-maker for the reportable segments

is as follows:

<u>Three months ended March 31, 2025</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Revenue from external customers	\$ 340,232	\$ 550,181	\$ 890,413
Inter-segment revenue (Note)	<u>2,008</u>	<u>17,752</u>	<u>19,760</u>
Total segment revenue	<u>\$ 342,240</u>	<u>\$ 567,933</u>	<u>\$ 910,173</u>
Segment (loss) income	(\$ <u>15,673</u>)	<u>\$ 11,732</u>	(\$ <u>3,941</u>)

<u>Three months ended March 31, 2024</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Revenue from external customers	\$ 245,739	\$ 513,926	\$ 759,665
Inter-segment revenue (Note)	<u>3,425</u>	<u>7,327</u>	<u>10,752</u>
Total segment revenue	<u>\$ 249,164</u>	<u>\$ 521,253</u>	<u>\$ 770,417</u>
Segment (loss) income	(\$ <u>58,411</u>)	<u>\$ 33,757</u>	(\$ <u>24,654</u>)

Note: Sales between segments are carried out at arm's length.

(3) Reconciliation for segment income (loss)

- A. The revenue from external customers reported to the chief operating decision-maker is measured in a manner consistent with that in the statement of comprehensive income.
- B. A reconciliation of reportable segment income or loss to the income (loss) before tax from continuing operations for the three months ended March 31, 2025 and 2024 is provided as follows:

	<u>Three months ended March 31,</u>	
	<u>2025</u>	<u>2024</u>
Reportable segments gain (loss)	(\$ 3,941)	(\$ 24,654)
Total non-operating income and expenses	<u>7,607</u>	<u>17,012</u>
Gain (loss) income before tax from continuing operations	<u>\$ 3,666</u>	<u>(\$ 7,642)</u>

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Loans to others

Year ended March 31, 2025

Table 1

Expressed in thousands of NTD

(Except as otherwise indicated)

No.				Is a	Maximum	Ending Balance	Actual amount	Interest	Nature of loan	Amount of	Reason	Allowance	Collateral		Limit on loans	Ceiling on	
(Note 1)	Creditor	Borrower	General ledger account	party	for the Period	(Note 2)	drawn down	rate	(Note 3)	transactions with the borrower	for short-term financing	for doubtful accounts	Item	Value	(Note 1)	(Note 1)	Footnote
0	The Company	eBio International	Other receivables - related parties	Yes	\$ 40,000	40,000	\$ -	-	2	\$ -	-	\$ -	Promissory note	\$ 40,000	\$ 517,511	\$ 1,035,022	

Note 1: According to the parent company's "Management policies on financing provided to Others "

(1) For individual companies, the loan shall not exceed 20% of the net value of the lender's most recent financial statements.

(2) The total amount of loan and loan shall not exceed 40% of the net value of the latest financial statement of the lender.

Note 2: Pursuant to paragraph 2 of article 14 in Regulations Governing Loaning of Funds and Making of Endorsements/Guarantees by Public Companies, loans of funds between the public company and its related parties shall be submitted for a resolution by the board of directors, and the chairman may be authorised, within a certain monetary limit resolved by the board of directors, and within a period not to exceed one year, to give loans in installments or to make a revolving credit line available for the counterparty to draw down. Such loan monetary limit is disclosed herein.

Note 3: Nature of Loan

(1) For operational or transaction purposes.

(2) For short-term financial needs.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Endorsements/Guarantees provided
Year ended March 31, 2025

Table 2

Expressed in thousands of NTD
(Except as otherwise indicated)

No.	Endorser/Guar	Endorsee/Guarantee		Limit on Endorsement/ Guarantee Given on Behalf of Each Party (Note 2)	Maximum Amount Endorsed/ Guaranteed During the Period	Outstanding Endorsement/ Guarantee at the End of the Period	Actual Amount Borrowed	Amount Endorsed/ Guaranteed by Collateral	Ratio of Accumulated Endorsement/Guarantee to Net Equity in Latest Financial Statements (%)	Aggregate Endorsement/ Guarantee Limit (Note 2)	Endorsement/ Guarantee Given by Parent on Behalf of Subsidiaries	Endorsement/ Guarantee Given by Subsidiaries on Behalf of Parent	Endorsement/ Guarantee Given on Behalf of Companies in Mainland China	Footnote
0	The Company	eBio Technology	Note 1	\$ 1,293,777	\$ 20,000	\$ 20,000	\$ -	\$ -	0.77%	\$ 2,587,554	Y	N	N	

Note 1: The Company owns directly more than 50% voting shares of the endorsed/ guaranteed subsidiary.

Note 2: The relevant regulations for "endorsements/guarantees limit" of the Company are as follows:

(1)The endorsement and guarantee limit for a single enterprise, except for subsidiaries in which the Company directly or indirectly holds more than 50% of the common stock, shall not exceed 50% of the net worth.

For other cases, it shall not exceed 10% of the net worth.

(2)The total amount of endorsements and guarantees provided by the Company to external parties shall not exceed 100% of the net worth.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Holding of marketable securities at the end of the period (not including subsidiaries, associates and joint ventures)
March 31, 2025

Table 3

Expressed in thousands of NTD / foreign currency / shares
(Except as otherwise indicated)

Securities held by	Marketable securities	Relationship with the securities issuer	General ledger account	As of March 31, 2025					Footnote
				Number of shares	Book value	Ownership	Fair value		
The Company	Private equity fund	-	Financial assets at fair value through profit or loss- non-current	-	\$ 29,527	3%	\$ 29,527		
The Company	Ordinary shares of Y Company	-	Financial assets at fair value through other comprehensive income- non-current	300	3,000	13.04%	3,000		
The Company	Ordinary shares of B Company	-	Financial assets at fair value through other comprehensive income- non-current	250	2,500	16.67%	2,500		
JOCHU BVI	Preferred shares of W Company	-	Financial assets at fair value through other comprehensive income- non-current	61	3,320	-	3,320		USD 100
JOCHU BVI	Preferred shares of PIH	Subsidiary	Financial assets at fair value through other comprehensive income- non-current	30	996	-	996		USD 30

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Information on investees

Year ended March 31, 2025

Table 4

Expressed in thousands of NTD / shares
(Except as otherwise indicated)

Investor	Investee	Location	Main business activities	Initial investment amount		Shares held as at March 31, 2025			Net profit (loss) of the investee for the years ended March 31, 2025	Investment income (loss) recognised by the Company for the years ended March 31, 2025	Footnote
				Balance as at March 31, 2025	Balance as at December 31, 2024	Number of shares	Ownership				
							(%)	Book value			
The Company	JOCHU BVI	British Virgin Islands	Investment holding	\$ 1,149,099	\$ 1,149,099	36,564	100%	\$ 1,719,984	\$ 16,790	\$ 17,429	
The Company	LEGIUN	Taiwan	Sales of medical devices	80,000	80,000	8,000	100%	28,703 (	2,598) (	2,950)	
The Company	eBIO INTERNATIONAL CO., LTD.	Taiwan	Investment holding	107,114	71,114	16,331	73.66%	45,072 (	1,015) (	991)	
JOCHU BVI	JOCHU GLOBAL	Cayman Islands	Investment holding	328,912	328,912	10,000	100%	392,489	6,178	6,178	
JOCHU BVI	PIH	Singapore	Investment holding	496,256	496,256	16,348	65%	402,359 (	18,766) (	12,198)	
JOCHU GLOBAL	JOCHU INTERNATIONAL	Cayman Islands	Investment holding	328,912	328,912	10,000	100%	392,489	6,178	6,178	
PIH	JOCHU VIETNAM	Vietnam	Production and sales of optoelectronic components, stamping molds, and related international trading business	758,383	758,383	Not applicable	100%	617,415 (	18,626) (	18,626)	
eBIO INTERNATIONAL	eBIO TECHNOLOGY	Taiwan	Research and development, manufacturing of medical electronic devices, biomedical sensors, and integrated design services for healthcare systems.	107,071	101,071	16,364	100%	4,471 (	858) (	858)	

Table 4

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Information on investments in Mainland China
Years ended March 31, 2025

Table 5

Expressed in thousands of NTD / foreign currency
(Except as otherwise indicated)

Investee in Mainland China	Main business activities	Paid-in capital	Investment method (Note 1)	Accumulated amount of remittance from Taiwan to Mainland China as of January 1, 2025	Amount remitted from Taiwan to Mainland China/ Amount remitted back to Taiwan for the year ended March 31, 2025	Accumulated amount of remittance from Taiwan to Mainland China as of March 31, 2025	Net income of investee for the year ended March 31, 2025	Ownership held by the Company (direct or indirect)	Investment income (loss) recognised by the Company for the year ended March 31, 2025 (Note 2)	Book value of investments in Mainland China as of March 31, 2025	Accumulated amount of investment income remitted back to Taiwan as of March 31, 2025	Footnote
SUZHOU JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	\$ 569,170	2	\$ 367,541	\$ - \$ -	\$ 367,541	\$ 22,758	100%	\$ 22,758	\$ 922,786	\$ 1,824,991	Note 2(2)B
XIAMEN JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	451,775	2	328,912	- -	328,912	9,267	100%	9,267	588,694	663,837	Note 2(2)B

Company name	Accumulated Outward Remittance for Investments in Mainland China as of March 31, 2025	Investment Amount Authorised by the Investment Commission, MOEA	Upper Limit on the Amount of Investments Stipulated by the Investment Commission, MOEA (Note 3)
The Company	\$ 696,453	\$ 862,275	\$ 1,685,688

Note 1: Investment methods are classified into the following three categories; fill in the number of category each case belongs to:

- (1) Directly invest in a company in Mainland China.
- (2) Through investing in an existing company in the third area, which then invested in the investee in Mainland China.
 - A. Invested through Jochu Investment Ltd.
 - B. Invested 66.67% by Jochu International (Cayman) Ltd. and 33.33% by Suzhou Zhou Qiao Precision Metal Co., Ltd., totaling 100%.
- (3) Others

Note 2: In the 'Investment income (loss) recognised by the Company for the year ended December 31,2024' column:

- (1) It should be indicated if the investee was still in the incorporation arrangements and has not yet generated any profit during this period.
- (2) Indicate the basis for investment income (loss) recognition in the number of one of the following three categories:
 - A.The financial statements were audited by international accounting firm which has cooperative relationship with accounting firm in R.O.C.
 - B.The financial statements were audited by R.O.C. parent company's CPA.
 - C.Others.

Note 3: According to the new regulations issued by the Investment Review Committee of the Ministry of Economic Affairs in August 2009, the calculation method of the investment limit for the mainland area is the net value or 60% of the combined net value, whichever is higher.